

DR. DONATAS JONIKAS

STARTUP EVOLUTION CURVE

From Idea to Profitable
and Scalable Business



Startup Marketing Manual

IPO



IDEA

Based on
research
of more than

1.000
startups
worldwide

Wildly impressive teaching, remarkable research, unquestionable enlightenment. Startup Evolution Curve is by far the most concise framework for startups that I've ever read on the subject. Donatas covers everything needed to ensure not only success and scale but also the ability to do it over and over again. Every entrepreneur should have a copy of this book.

Germaine Moody,

Serial Entrepreneur, Author & Investor (USA)

Startup Evolution Curve is an amazing marketing manual that provides startup founders a step by step methodology to enlarge and sharpen their vision in a meaningful and useful way. Mixing a strong academic theoretical vision with solid experience, Donatas Jonikas is definitely an author "out of the curve"... I rate this book as a must have for every smart and dedicated entrepreneur!

Alex Quirino,

Founder/MP at Berks Capital Alliance (UK), Partner/CEO at Golden Dragon Holdings (HK), Mentor for the Stanford University Technology Entrepreneurship Online Course

Donatas' book is like an IKEA guide for building your next startup. Startup Evolution Curve is a detailed, comprehensive, understandable, and - most important - deeply practical instruction handbook. Every piece of information is based on more than 1,000 different practices, processes, routines, and tips from existing startups. That makes it a must-read when launching your next big thing.

Michal Tomek,

Co-founder & Editor at Slovak STARTUP

This book is a great way to rehearse some of the crucial elements that you need to align in order to have a successful business. Think about it like a roadmap that will guide you to the most important stages in your startup: 1. Feasibility Study, 2. Hypotheses and Experiments, 3. Fundraising, 4. Product Launch and the very hot topic of 5. Growth Hacking. Donatas has gathered together the essentials that I would love to have received from my entrepreneurship classes in high school and during my Business University degree.

Startup Evolution Curve is in the same league with The Four Steps to the Epiphany by Steve Blank and The Art of Start by Guy Kawasaki. I would recommend Startup Evolution Curve to startup enthusiasts, first time or serial entrepreneurs, and even to my own kids!

Denis Todirica,

Start-up Chile Entrepreneur. Forbes 30 under 30

Startup Evolution Curve is a masterpiece of practical, actionable, and easy-to-follow steps to turn an idea into a profitable and scalable business. Donatas has provided would-be entrepreneurs with a blueprint for building a business, along with some excellent templates and tools to help you during the journey. I am very impressed with the depth of the research, the range of examples and case studies, and the honesty and sincerity with which Donatas provides advice and guidance. This is a must-read for anyone thinking of starting a business or growing an existing business.

Debra Partridge,

Owner PearTree Consulting (USA)

I know how challenging it is to build a successful startup (I've already developed three). There are always more bad experiences and issues than truly exciting moments, but the result of all of the pitfalls is learning. If I could have read this book before creating my first startup, I would have avoided many pitfalls and tons of frustration. My philosophy is to always be coached and this book is full of guidance, not only for the early stage entrepreneurs but also for the already successful ones. None of the books will keep you from failure, but this one will definitely help you make better decisions.

Ariel Mizrahi,

Serial Entrepreneur & Mentor at StartupMexico (Mexico)

I don't know any book that sums up better the startup evolution and growth than the Startup Evolution Curve by Dr. Donatas Jonikas: The question isn't only what you should do; it's what and when you should do. So, if you are early stage startup founder and already have some innovative ideas, this is one of the most thought-provoking books you should give a try in 2017. Also, if you are looking for in-depth advice about topics such as business feasibility, market experiments, fundraising, product launch, and growth hacking, then this book is again an excellent choice to look for ideas and a different perspective.

Velimir Tasic,

Entrepreneurship Leader at garagErasmus,

Co-founder of ESAA entrepreneurship incubator (Singapore)

Dr. Jonikas combines academic research, observations from studying hundreds of startups, and personal experience to craft a solid framework for taking a new venture from idea stage through solid growth. His advice includes both what should be done, and what mistakes to avoid. He also references a variety of online tools that might

be missing from other “how to” books, even a year or two old. It’s a solid reference book for experienced entrepreneurs and a valuable roadmap for first-time founders. It’s organized in a way that allows readers to jump into the sections of particular interest, so it isn’t necessary to start at the beginning. It is well worth the read!

Akira Hirai,

Managing Director at Cayenne Consulting, LLC (USA)

If you are looking for foundations of how to build an innovative business, here it is! Startup Evolution Curve is like a textbook with essential checkup points. Secondly, it’s easy to read. Donatas goes straight to the point without any idle talk. I am sure anyone who will start reading this book will just “swallow” it!

Alexander Soloveicik,

Serial Entrepreneur & Advisor at Silicon Valley Real Ventures (USA)

I believe this book does a great job educating the reader about the building phases of a startup from both a theoretical and practical perspective. I found the startup case studies to be extremely useful as it shed light on real life examples. Entrepreneurs, business owners, students in business schools, and anyone thinking of building an innovative business could benefit from this book.

Nunzio Presta,

Founder & CEO at BizON Marketplace (USA)

Startup Evolution Curve is like a startup MBA in 325 pages.

Tarmo Virki,

Founder of CoFounder Magazine (Estonia/Finland)

Startup Evolution Curve presents a clear scenario to facilitate understanding of the complexities of marketing in the early stages of high potential scalable ventures. This is most valuable information for MBA students and entrepreneurs. Donatas shares important strategies for identifying the business model, and in particular, offers the value proposition in contrast with “cool features,” which lead to considerable distractors in our world.

Katherina Kuschel, Ph.D.

Researcher at Lazaridis School of Business & Economics (Canada)

Startup Evolution Curve is unique as it is based on real data about 1,000 companies. It reaches beyond plain facts by giving advice, templates, and real-life examples. The book covers the whole process of creating a successful startup, from the initial feasibility research to managing company growth. It is an excellent read for entrepreneurs.

Boyan Yankov, PhD

Co-founder of Web Motion Ltd (Bulgaria)

Nice structure, great research, and a solid foundation for startup founders who want to understand the details. I think every university student should read it!

Mark Tuttle,

Co-founder & CEO at Cryptografx Security Solutions (UK)

It's a practical combination and synthesis of old and new practices in terms of startup and business. Startup founders can surely find a complete journey in order to manage a startup, from creating business models based on ideas to developing funding approaches and metrics for new businesses.

Giorgio Ferrari,

Co-founder & Startup Mentor at quo·d (Italy)

Startup Evolution Curve is a wonderfully practical guide for both young founders and experienced entrepreneurs engaged in startups. I found it a very pleasant read, which creates an impression of not just a manual for those involved in startup development, but more of a hands-on guide empowered with real-life case studies, useful templates to be applied in individual startup business strategies and research activities, as well as suggestions of the modern tools to be used. It feels like the author has considered the most common questions startup founders come across and provided a set of recommendations for them to be easily managed.

Yuliya Tsimokhava,

Content manager at VCEE Startups (Belarus)

Startup Evolution Curve perfectly embodies all that is essential to becoming the definitive business manual: essential analysis; lean method; hands-on approach. Using an iterative and closed-loop process, with tons of visual and practical takeaways, it is highly recommended for startup practitioners. And, as a seasoned business, we will want to keep it on our working desk - because it just goes straight to the point.

Alberto Ratti,

Co-Founder BIBA Venture Partners (Spain)

It's an engaging book for all startups. The author has put across a lot of case studies which helps in understanding how it was implemented in a particular case. I recommend startups to learn and more importantly implement the strategies outlined in this book.

Arjun S Meda,

Startup Catalyst & Entrepreneurship Community Builder (India)

A very thoroughly researched and, what is more important, personally lived through must read for start-ups and prosperity seekers. Donatas provides us with useful tools to support our creativity and execution process, which is critical especially at the time of growth and expansion. If you want to achieve virality and brand affinity, I highly recommend it.

Anna Hejka,

Serial Entrepreneur & Founder of VC/PE funds (Poland)

The Startup Evolution Curve is filled to the brim with useful tools and insights presented in a very structured way. Simply a great guide for first-time and serial entrepreneurs alike.

Andy Cars,

Lean Startup Coach, Founder of Lean Ventures (Sweden)

Startup Evolution Curve reveals must-know essentials and strategies for early-stage startup founders. You just need to read it and implement recommendations relevant to your case step-by-step. Actually, it is helpful not only for young startups. Even though *InnMind* is in its growth stage, the book helped us to take a step back and dive deeper into our current situation as well as defining the most essential milestones of our growth strategy.

It is impressive how Donatas collected all the essentials and must know's for startups in one, easy-to-read book! I highly recommend Startup Evolution Curve to every startup founder from idea to the growth stage as a Bible of a startup journey.

Nelli Orlova,

Co-founder & CEO at InnMind (Switzerland)

Donatas gives a clear and concise guide to any entrepreneur or startup wanting success. No stone is left unturned. I just wish I had access to such a great resource in my early days as an entrepreneur. It would have saved me a lot of wasted time and energy.

Tom Payani,

Sales Psychology & NLP Trainer (Spain)

I remember talking to Donatas at an event in Vilnius in March 2016. This book was just an idea in a few simple words. I'm delighted to see this final product delivered. I hope this book will be an inspiration for many to turn words into action. This informative guide can take a startup at least one step forward to increase the probability of success and I highly recommend it!

Donatas Smailys,

CEO at KTU Startup Space (Lithuania)

All entrepreneurs dream of building a successful business. Startup Evolution Curve is undoubtedly a guide and a mandatory reading that will help us to follow the path we idealized at the beginning of our entrepreneurial journey.

Carlos Rubinstein,

Founder & CEO at Talentix (Brazil)

Startup Evolution Curve is one the greatest books I have read, one that not only wisely and realistically touches some of the most intricate pain-points of startups, but also offers an equally wise, simplified, and detailed solution. A good thing about this book is that it opens your mind to different possibilities and perspectives. Therefore, I would love to refer it to every startup, aspirant, businessman, and student I know.

Karan Rajani,

Startup Advisor. Business Columnist @Yo! Success (India)

I firmly believe that each and every person who wants to become successful and financially self-sustainable should read this book. It's a practical road map for entrepreneurs who want to improve their life by doing what they love. Startup Evolution Curve is a great and comprehensive guide for understanding the world of startup business.

Andrew Funk,

Serial Entrepreneur & President of #HomelessEntrepreneur (Spain)

This is one of the most insightful, practical and scientifically-developed resources into the complex world of startup marketing. The action-based blueprints, charts and to-do lists make it a necessary resource on the desk of all founders and marketers. Highly recommend for anyone building a startup in 2017.

Abdo Magdy,

Group CEO at EGY Enterprises Ltd (UK/Egypt)

The book is definitely helpful in getting right to the point insights on the practical issues of the startups growth and development. Aha moments are collected frequently by the novice reader and valuable notes often recorded for future reference. You can focus solely on a priority topic and still get immersive advice supported by the author's latest research. Hope Donatas shall expand exponentially his followers base after the book reaches the target audience.

Merab Labadze,

*Innovative Educator & Technology Promoter at Innovative Education Foundation
(Georgia)*

Dr. Donatas Jonikas did a great extensive research to more than 1400 startups and found out good pointers to get you from an idea to a scaling business. We're especially charmed about the testing frameworks and tools he suggests within this book, that will help you test the riskiest assumptions of your startup and your startup marketing strategy.

Stephan Botz,

*Serial Entrepreneur, Investment Manager at EPIC Seedfund & Co-Founder
of BW Ventures*

A solid book combining actionable strategies and insights from the trenches of entrepreneurship. If you plan to start a business this book will give you a big shortcut from theory to implementation.

Carl Allen,

Serial Entrepreneur, Investor & Founder of Ninja Acquisitions (UK)

Startup Evolution Curve is a must-read material for any entrepreneur who is thinking big. If you are planning to turn your ideas into a profitable company, this book is for you. As an entrepreneur, and entrepreneurship teacher in one of the best business schools in Argentina, I would say this book contains all the information any startup needs that is usually not explained in college. You don't have to reinvent the wheel - Startup Evolution Curve helps avoiding common mistakes and shows shortcuts to success. If you want to improve your learning curve, save your time and money, don't miss this book!

Damian Lopo,

Founder & Director at Newlink Capital (Argentina)

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Here is a gift for you!

Thank you for reading this book. *Startup Evolution Curve* is based on my analysis of 1,447 surveys of startup founders and more than 500 in-depth interviews with successful startups all over the world. This was a significant undertaking! But I've also gathered, created, and updated a set of templates that will help you save time and stay focused while embarking on your own startup marketing tasks. I've found these templates extremely useful in my consulting practice with different startups and you are welcome to download them for FREE at www.EvolutionCurve.com/templates.

Please leave your review

I would be sincerely grateful if you would review this book on Amazon. It will help other startup founders to better understand what they could learn from this book. Please share what you've found most valuable in this book and to whom you would recommend it. Thank you in advance!

*My most sincere thanks go to my dear
wife Dovile for her support and understanding during
this journey of discovery and creativity.*

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Warning: read this first!

Many people have innovative business ideas or even actual inventions, but they never start a business simply because they don't know how. Even if they do start a business, most startups fail and the founders find themselves asking "Why...?" Unfortunately, it's not enough to just have an innovative idea to start a successful business. It's not even about finding the money, either. Angel investors, venture capital funds, and even crowdfunding platforms receive many requests from early stage startups every day, but most of those requests are unpolished, unprepared, and lacking in sufficient proof of a viable business model. Sadly, even the greatest and most promising ideas quite often don't receive sufficient attention and interest from potential investors, just because the founders didn't know how or what to prepare.

Not surprisingly, there is no magic trick or one-size-fits-all methodology to skyrocket your startup and I can't provide you with one either. But the good news is that you are reading *Startup Evolution Curve*, a startup marketing manual on how to transform your innovative ideas into a profitable and scalable business. Consistently applying this methodology step by step will help you attract suitable investors and create a self-sustainable, profitable business. This methodology is built not just on theory, but on the best practices of hundreds of successful startups all around the world.

I wrote this book for entrepreneurs starting their own innovative business, early stage startup founders, and investors looking for promising innovative startups. The methodology shows you step by step how you can achieve three main goals:

- Secure your first sales and ensure that you have something that can become a profitable and scalable business.
- For founders, find the most suitable investors, and for investors, objectively evaluate which startups are worth investing in.
- Identify business growth possibilities and employ a growth hacking mindset to accelerate your growth at the right time and in the right way.

This is not a theoretical textbook that is difficult to implement and boring to read. This is a simple and actionable manual that will open your eyes to how you can improve the development of your startup. It will provide you with many "Aha!" moments. *Startup Evolution Curve* is the result of long-term practical and analytical work based on real world research.

I've been working as a Chief Marketing Officer (CMO), board member, and marketing consultant for more than 10 years. During the time, I've helped to develop and

successfully implement marketing strategies in more than 50 companies in different countries. Marketing theory is useful as background knowledge, but when you have a real business, you need clear and actionable guidelines for what to do next, especially if you are a startup and already have a painful cash burn rate.

- To enhance my knowledge of startup marketing, I've recently read dozens of books and over 100 scientific articles about various aspects of startup development. I've attended more than 30 live seminars and conferences on start-up and innovation topics. I've watched an uncountable number of webinars and videos concerning startup marketing. Most of them are focused just on particular aspects of startup development. That's not necessarily a bad thing, but it takes too much time if you want to have an overall understanding of how innovative ideas are transformed into a profitable and scalable business. That's how I came up with the idea of writing a book that would be a step-by-step marketing manual for early stage startups.
- With a doctoral degree in economics, I couldn't resist the temptation to verify the *Startup Evolution Curve* methodology by conducting research that took me more than eight months. The result is that each step and task in this manual is based not only on my personal experience and a solid theoretical approach but also on practical evidence from my worldwide research. To prepare to write this book, I surveyed 1,447 startup founders all around the world and conducted nearly 500 in-depth interviews with founders who achieved significant results or had painful lessons to share.

Conducting the research also helped confirm that this book is needed and inspired me to continue the work. Soon after launching the survey, I started receiving personal messages from startup founders validating both the survey and my instinct that the book is needed:

- "Finally had time to sit down and do your survey. Some pretty deep stuff going on in there."
- "I really liked the kind of questions you have raised. It seems you're going deep in the startup metrics and analysis."
- "I have completed the survey and it did make me think more deeply about what to focus on and improve in the business."
- "I like very much the way you put together the critical questions to every entrepreneur."
- "I've finished your startup survey and I realized how much more work has to be done."

- “Nice survey, made me think about few things (especially in marketing domain) that I didn’t think about - or maybe don’t have the skill sets to do it.”
- “I’ve gone through your test and understood that I have almost nothing prepared for marketing and growing my projects! I will definitely try to learn more in this field!”

If you want to find investors for your startup or if you are developing a startup business on your own, this book is a shortcut. This startup marketing manual will give you a significant boost to your business, save you time, and help you to avoid painful mistakes. The concept of *Startup Evolution Curve* has five stages with seven lessons (or tasks to be done) in each. So, you have in your hands a comprehensive book with 35 lessons on startup marketing. Each lesson explains:

- What should be done and why it is needed
- Actionable steps and how to do it
- Real case startup examples
- Useful templates for download and references for further reading

I obviously don’t know your business in detail, but this book will give you insights on how to improve your startup and achieve better results. You don’t even have to read the whole book from start to finish. Review those chapters that might be most relevant to your situation and use what you find most helpful for your business. My mission is to help startup entrepreneurs and early stage startups to build their business faster. And if you need just a few pieces of what I want to share, so be it! I’ll be happy for you no matter how much you learn from this book!

“Marketing and innovation produce results; all the rest are costs.”

P. Drucker

Let’s start by looking at how startup marketing helps bring innovative ideas into reality and create a profitable business. But one thing you must remember: it’s not enough just to have the knowledge. You must take action to make the vision become a reality and I’ll gladly guide you on taking that action. Come on! Let’s build your profitable and scalable business!

Save time! Read this book and download useful templates from www.EvolutionCurve.com to make your startup grow faster.

Increasing the chance of your startup's success

The research of 1,000 startups worldwide

WHAT EXACTLY IS A STARTUP?

According to Steve Blank and Bob Dorf (2014), a startup is a temporary organization in search of a scalable, repeatable, and profitable business model. Neil Blumenthal proposed that a startup is a company working to solve a problem where the solution is not obvious and success is not guaranteed. Others say that only a technology business which is based on one main product or service and has a fast growth possibility activated by great teamwork and venture capital investment should be called startup.

These days, you will hear that nearly any new business can be called a startup. To me, the most acceptable definition was given by Paul Graham who said that, *"A startup is a company designed to grow fast. Being newly founded does not in itself make a company a startup. Nor is it necessary for a startup to work on technology, or take venture funding, or have some sort of "exit." The only essential thing is growth. Everything else we associate with startups follows from growth."* I would also add that a true startup is always involved in some kind of innovation. The innovation can be in technology, new products or services, new methods of production, new cost structures or pricing, a new business model, new funding ideas, and many other possible innovations.

But how much can a startup grow and still be called a startup? Alex Wilhelm (2014) in his article on TechCrunch proposed a term sheet for startup definition. If the company has or is any of the following, it can no longer be called a startup but rather should be treated as just another technology company either hunting for or actively avoiding an IPO:

- \$50 million revenue run rate in 12 months
- 100 or more employees
- \$500 million or more worth

Because there is little agreement on the definition of what constitutes a startup, it is instead helpful to classify startups into five categories in accordance with the main purpose for which they were established or initiated:

- ***The small business startup*** is associated with a fact that the vast majority of so-called startups never grow past the small business stage. So, if the founder

just wants to run his own business and earn enough money to feed his family, it should be classified as a small business startup.

- ***The lifestyle startup*** is very similar to the small business startup, but in this case, the founder pursues his passion (does what he loves) and finds a way to earn money through it.
- ***The buyable startup*** is a new phenomenon wherein a startup is founded with the main purpose of being sold to a third party in return for a handsome amount of profit. The low cost of developing web or mobile apps allows startup founders to fund the business by their own savings, credit cards, or by raising small amounts of risk capital (usually less than \$1 million). These startups are happy to be purchased by larger companies that often seek to acquire the talent as much as the business itself.
- ***The scalable startup*** is vastly different from the small business startup despite the fact that both have very humble beginnings. A scalable startup usually has a simple but powerful concept and believes that it can change the world. In most cases, these startups are looking for financial investors to help make their vision come true.
- ***The social startup*** is driven by a powerful cause rather than by profit. But just because social entrepreneurs are fighting for a cause doesn't mean that they are any less passionate about success or interested in making a profit. Unlike traditional startup companies, the goal of most social startups is to make the world a better place. However, there are some social startups that strive for wealth creation for a specific targeted group.

I used these same five categories when I conducted my research. My initial goal was to survey 1,000 startups, but I actually collected more than 1,500 responses, of which only 1,447 were qualified. I refer to this research in the book as my “global research on startups.”

THE PURPOSE AND SCOPE OF THE RESEARCH

The idea to conduct this research was born during the Investor Day conference organized by VCEE Startups where I was giving a speech. I've been thinking about writing a practical manual on startup marketing for quite a while and this conference was a good opportunity to determine if my book idea had a market fit. At the end of my lecture, I introduced the book mock-up and a link where conference attendees could freely download a set of practical templates used in startup marketing. The audience got interested and started asking about the book content and where it could be purchased. That was a great motivation for me and the volume of template downloads during and after the event confirmed that topic is really worthy of a book.

After receiving such nice praise for my book idea, my elation soon returned to normal when one startup founder asked me directly, “Why should we believe in what you

are telling us? How do we know that these steps are mandatory to build a profitable and scalable business?” Ouch! What a question! Somebody doubted me! I don’t recall exactly how I replied, but I began answering it in my mind with something like, “Because I have more than 10 years in marketing and I know it from my experience.” “Because I’ve developed and helped to successfully implement marketing strategies for more than 50 companies in different countries.” “Because I have Ph.D. and I read countless numbers of scientific articles and books on these topics.” But, so what? I said myself to stop trying to justify myself! Actually, I realized that it was a great question, even if I didn’t like it. You also shouldn’t take it personally if somebody doubts or critiques your ideas. It is your ideas that are being questioned, not you personally. For me, it became obvious that I must have a solid answer to this question.

Fortunately, David Goldsmith was in the room. As a global entrepreneur and a best-selling author, he confirmed that I made some really good points about startup marketing, but it would be good for me to have more validation or proof. Did you know that he interviewed 2,000 companies to write his New York Times best-selling book *Paid to Think*? His research is one of the reasons why his book became so highly valuable for entrepreneurs. I was amazed by the scope and depth of his research and he told me that I should do that, too! I agreed that it would be awesome to conduct that kind of research, but I didn’t want to take a few years. I wanted to do it in few months.

Another guy came up to me during the coffee break and said he knew of many consultants and mentors who have built one or a couple of successful startups who were now teaching others. But he described his startup situation as very different, and he was not sure if he should listen to them. Then I had an *Aha!* moment. What if I gather knowledge and collect best practices from 1,000 startups all over the world? What if I could somehow test these methodologies on 1,000 startups before putting them in the book? Thanks to those guys for asking right questions, and to David Goldsmith for the inspiration, I designed a two-stage research project (Table 1).

Table 1. Goal structure of global research on startups

Survey & statistical analysis (1,447 responses)		In-depth interviews & case studies (nearly 500 interviews)	
To check if startup business development methodologies are used in practice?	YES	How do particular methodologies contribute to startup success?	
		Are these methodologies used correctly and effectively?	
	NO	Why are these methodologies not used in practice?	
		Do startups understand the essence and purpose of methodologies?	

The general purpose of the research was to check what has worked well and what seasoned startup founders would do differently in their next venture. The survey was run for quantitative statistical research, while in-depth interviews and case studies were used for qualitative analysis. I have prepared the survey based on the five stages of startup development and have included methodologies and concepts recommended by theoretical literature and by well-known startup development experts. Classification of the startup development stages still remains complicated and ambiguous because not every startup can clearly say which development stage they are in. Therefore, the survey had five descriptive questions for the startup founders to self-assess on a scale from one to ten how close they are to one or another benchmark. It allowed me to identify the development stage of each startup and to check if they know and use the methodologies which are recommended for each particular stage. The in-depth interviews allowed me to go deeper into each individual situation, to analyze how a particular methodology contributed to the startup's success, and determine if the founders correctly understand and use them in practice. In addition, I was searching for any shortcuts in the development of a startup and checking to see if there might be a pattern among them that proved that using the same methodologies was an efficient way of starting a business.

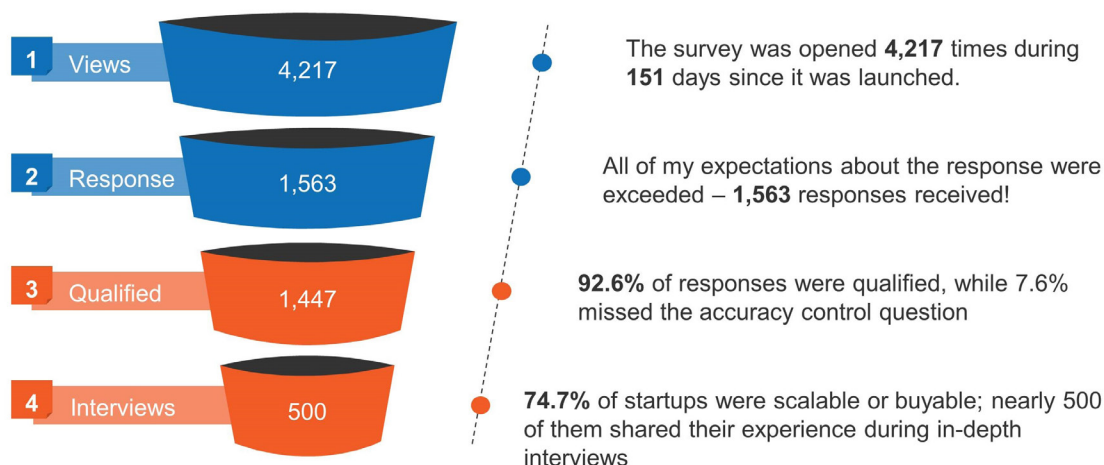
I started the survey without a review by a native English-speaking business person and that was a mistake. I did a pilot survey (about 30 responses from my network), but most of the responses were provided by non-native English-speaking business people and it didn't occur to me to change it. The good news was that soon after launching the survey publicly (up to 50 responses), I started getting comments in my email, in LinkedIn, and even on Facebook. A few people told me that they couldn't give the answer they wanted or spotted a spelling mistake. Here is what I did to resolve the issue:

1. I made all questions not mandatory, so if somebody couldn't find a suitable answer, they check none of them. I didn't include blank responses in the survey results.
2. I created a comment field below each question to get feedback from respondents in case there was an issue or additional information was needed. I did this after I had already received around 100 responses. Some of the respondents provided additional insights, while some of them were just funny, and some were not valuable at all. But, generally, there were no major complaints about not understanding the questions in the survey.
3. I added clarification or corrected spelling mistakes as I received them from respondents. As far as I remember, I got helpful advice from four or five native English-speaking people. The most helpful was a guy from Toronto.

4. During Skype interviews with the startups who wanted to be a case study, I double-checked their answers and dug deeper. They confirmed that making the questions not mandatory was a good idea. After that, none of my Skype interviewees reported having misunderstood any questions. If there were any confusing questions or answers, they were usually left blank or the respondents included additional comments in the comments field. Therefore I was able to filter out unreliable responses.

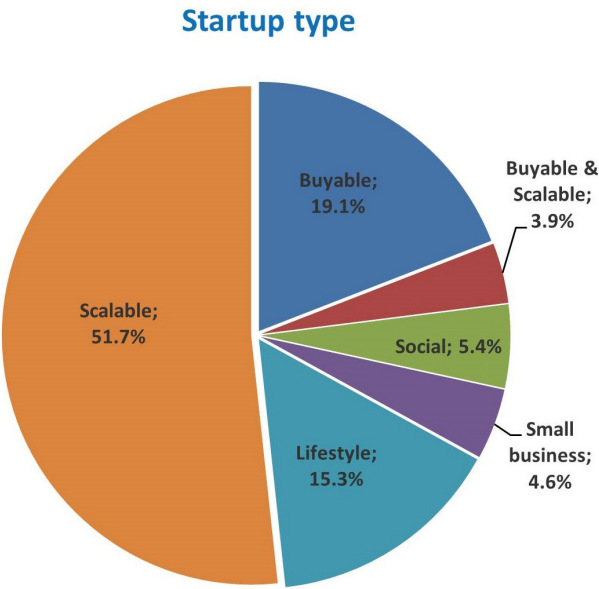
The survey ran for five months (151 days to be exact) from May 2, 2016 to September 29, 2016 and the in-depth interviews took an additional couple of months. My sincere thanks to *InnMind*, Startup Chile, Innovare Platform, Slovak Startup, VCEE Startups, and many other organizations, numerous social network groups (like “On Startups” and “A startup specialist group” on LinkedIn), and all entrepreneur-minded people who helped to spread the news about the research.

Figure 1. Scope of the research



The survey received 1,563 responses from startup founders from all around the world and 1,447 were qualified. I added a special question to avoid blind responses: “If you read this carefully, please mark the answer with *we have it*.” So, only validated responses were included. I also conducted nearly 500 in-depth interviews and case studies with startups that fell under the category of buyable or scalable startups. According to data gathered by *InnMind* (2016), approximately 100 million startups are opened each year and 1.35 million of them are tech startups. Taking into account that the total population of the research is close to infinity (1.35 million or 100 million startups around the world), the statistical results of this survey are accurate at the 95% confidence level plus or minus 3% percentage points.

Figure 2. Survey responses by startup type



According to our definition of startups, not every new business is a startup. Therefore, my analysis was focused on startups that fell under the category of scalable or buyable startups (1,081 qualified responses or 74.7%). Many startups chose several statements describing their situation. If the scalable or buyable category was among them, their response was included in further analysis. I was not seeking to do research to precisely represent the startup community structure worldwide, but was focused on collecting responses from early stage startups in different regions (Figure 3. Survey responses by startup location) and different industries (Figure 4) which allowed me to compare their specifics and possible interdependencies.

Figure 3. Survey responses by startup location

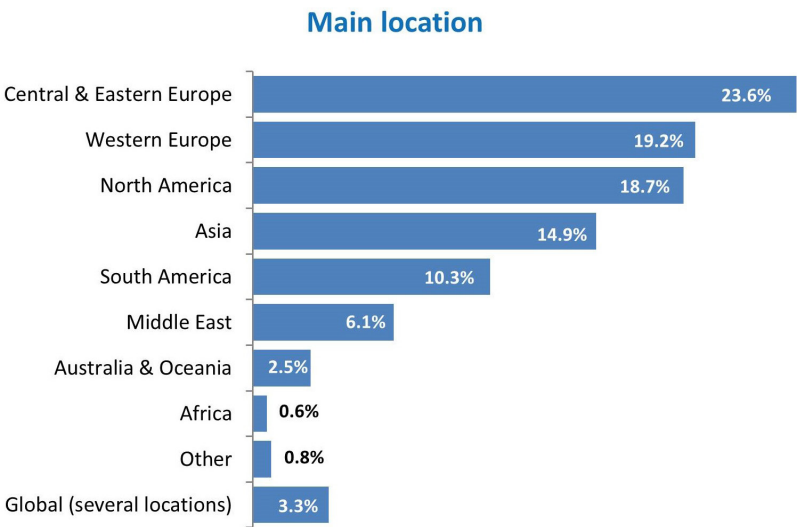
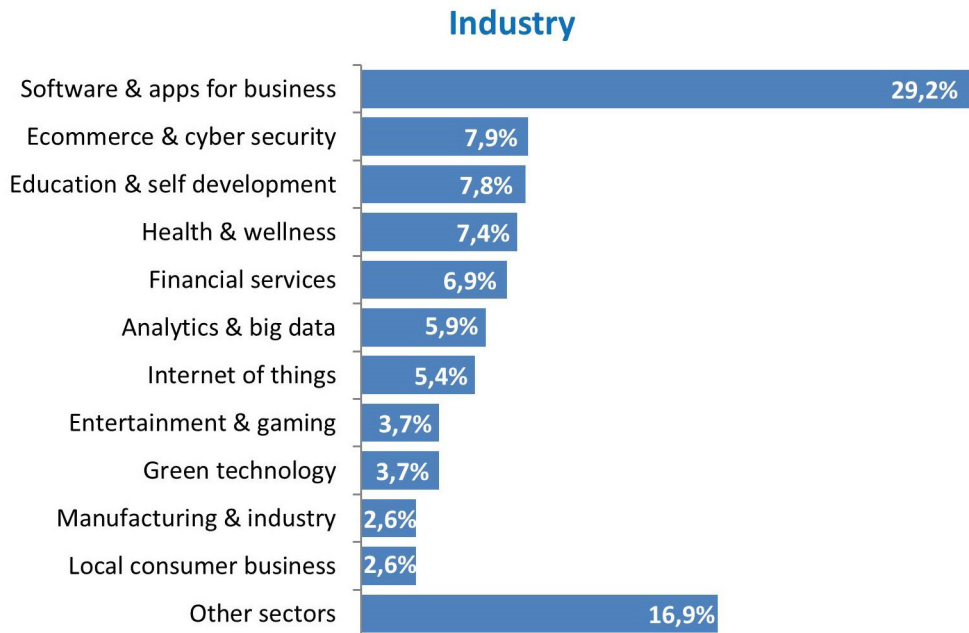


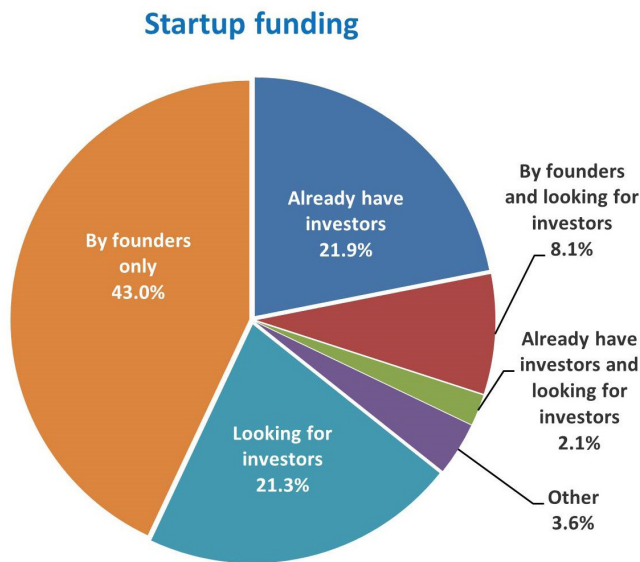
Figure 4. Survey responses by startup industry



Startup funding was another important criterion used in the research (Figure 5). While it is not yet statistically confirmed, startups that were at least partly funded by founders showed greater progress in the product launch stage (when the product or service was already on the market), but startups that were mainly funded by investors had much better and deeper feasibility studies done and demonstrated more sophisticated approaches to experiments and hypotheses verification. It probably shouldn't be surprising, because investors usually are less passionate about the project than founders and require more information for decision making. Maybe it's just a coincidence, but most of the startups that indicated they were looking for investors (and were not funded by the founders), showed a very strong focus on fundraising, but a relatively weak focus on feasibility studies and very little effort on hypotheses verification.

By the way, it's interesting to note that 1.8% of surveyed startups had already managed to acquire financing from government grants or EU structural funds, by winning cash prizes in contests, or by getting funded from third parties (neither founders nor investors).

Figure 5. Survey responses by startup funding sources



I suppose we could calculate the correlation between different variables and check to see if there is a dependency of applying one or more methodologies based on startup location, type, industry, and funding. But this is a practical startup marketing manual, not a tedious report of scientific research. So, take a look at Figures 6 - 10 to get acquainted with the type of startups that fell into the scope of the research, then let's move on to how to transform your innovative ideas into a profitable and scalable business.

Figure 6. Survey responses by progress of feasibility study

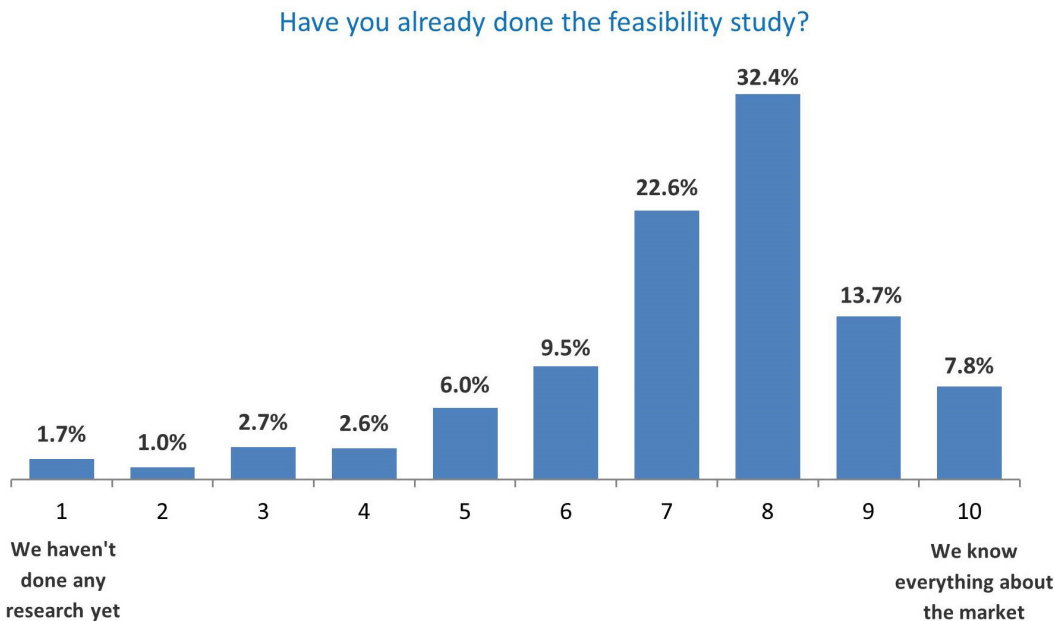


Figure 7. Survey responses by progress of prototyping and hypotheses verification

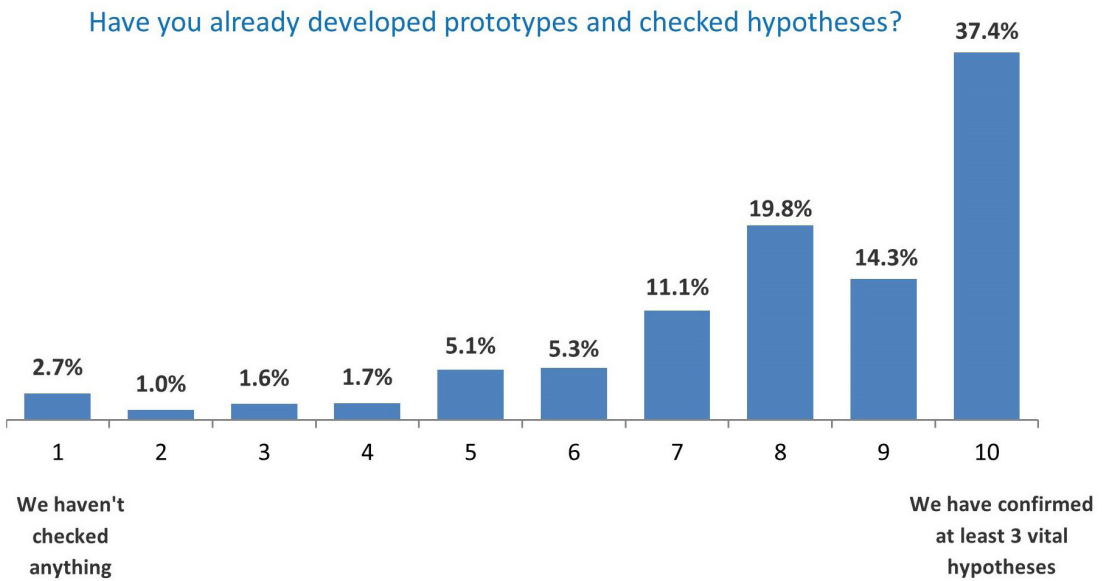


Figure 8. Survey responses by progress of startup funding

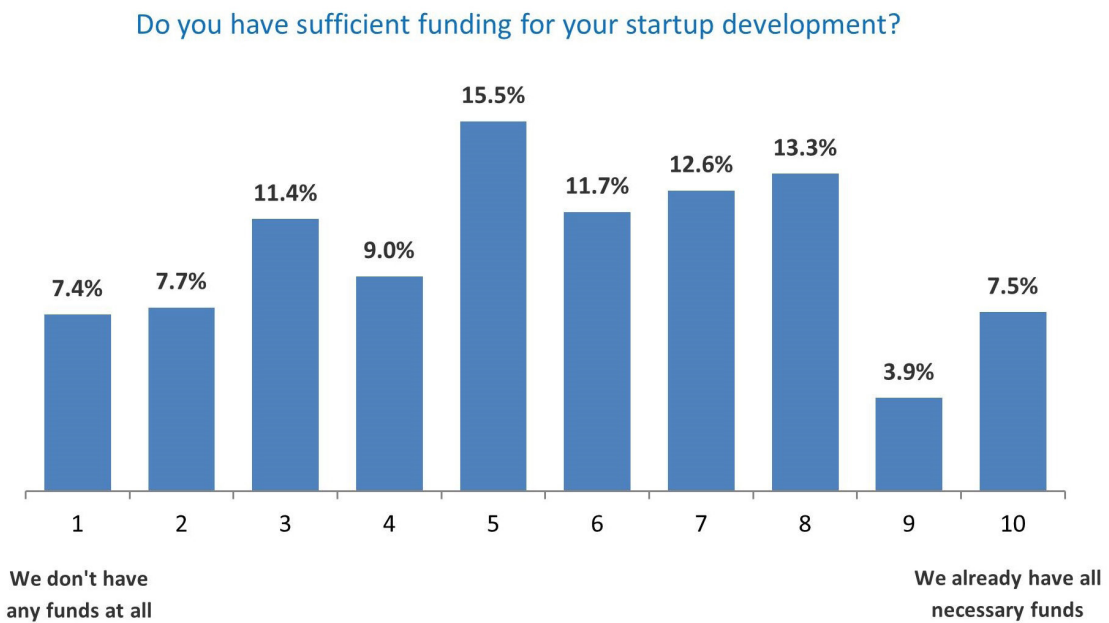
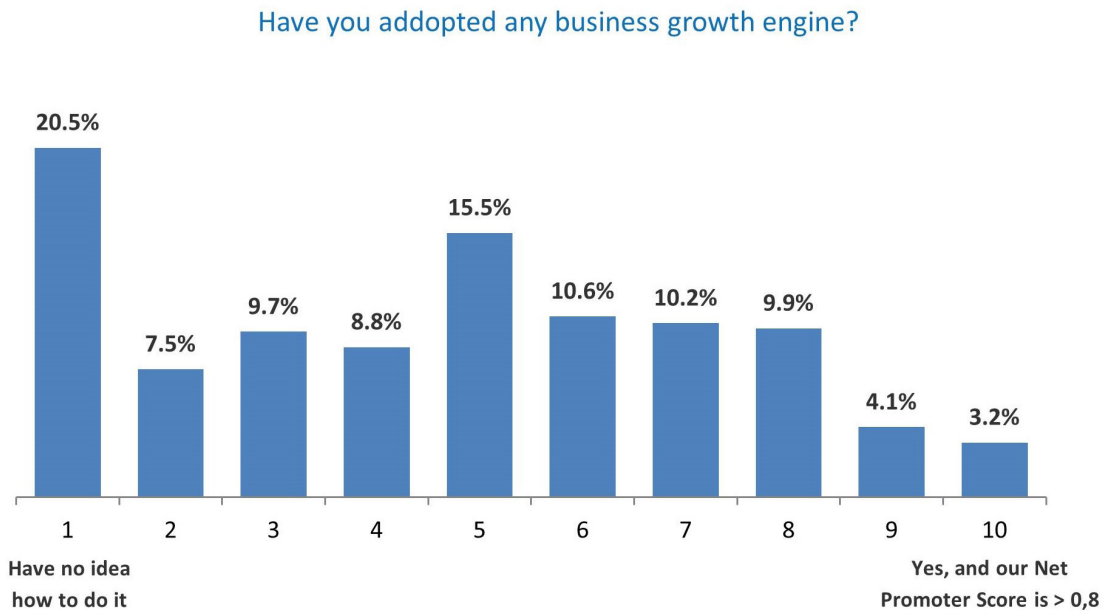


Figure 9. Survey responses by progress of product launch (market entry)



Figure 10. Survey responses by progress of business growth



The founders of thousands of scalable and buyable startups have shared their experience and contributed to hundreds of in-depth interviews in order to create this marketing manual for early stage startups. It seems like it has taken a long time, but finally, you hold this book in your hands! It doesn't represent just a single point of view of an author or expert, but the experience and advice of more than 1,000 startup founders from all around the world! I hope you will read it and take from it what seems the most valuable to you.

Most dangerous mistakes in startup marketing

A quick search on Google will tell you that around 90% of startups fail. They simply never become a profitable or scalable business. Why is this failure rate so high? What critical mistakes are these failing businesses making in their strategic marketing?

I've been in strategic and practical marketing for more than 10 years and have observed some common mistakes that most early stage startups make. But, observations are not as conclusive as data. Therefore, in my global research on startups, I was looking for success factors and valuable lessons to be learned. But, unexpectedly, I've also found some common mistakes made by one after another in startup marketing. Following are the most common and most costly.

1. Creating the product first, thinking about marketing later

This is one of the most common and expensive mistakes a startup can make. Who would create a product that nobody wants to buy? It seems so logical, but there are many, many startups that have invested their time, money, and effort in developing products without having a clue as to whether customers will buy it. Many startups, especially in the tech industry, think that the hardest part is to create an innovative product, to "make things better." The notion that the main success factor of a business is to create a product is a business mindset that was popular and very effective in the 1960s. It is certainly not a valid business premise in the 21st century and even less so for startups.

It's great to have a strong focus on product innovation, but you have to create products that will be loved and used by customers, not you!

2. Offering "nice to have," but not essential value

Many startup founders focus on creating products that solve a particular problem that is important for them, but not necessarily for their potential customers. If the problem you are trying to solve is not really painful for customers or the value you try to create is not essential—but just "nice to have"—the chance of success for your startup is very low. First of all, it will be much harder to sell non-essential products. If your customer's

financial situation worsens, your “nice to have” product won’t be on your customer’s priority list. Secondly, the price and your profit margin strongly depend on perceived value. The more valuable your product seems to be for the customer, the higher the price he is ready to pay. So, you definitely want to focus on creating essential value and solving painful problems.

3. *Lack of market verification; saying is not the same as paying!*

This is closely related to the “nice to have” mistake. The fact is that 42.6% of startups that are trying to address really serious problems and create tremendous value don’t *test it in the market* or they do it in the wrong way. It would be hard to find a startup founder who hasn’t heard about market verification, the process of validating their business idea in the real market. But most of them either don’t take the time to do it thoroughly or do it incorrectly.

For example, you can’t just ask your customers to answer a survey to get market verification. Instead, ask them to buy or at least pre-order your product. If customers say your product is great and that it solves a meaningful problem for them and gives great value, that’s great! But, if they still don’t buy it, guess what? Saying is not the same as paying! You’ll never have real market verification until customers give you their money for your product.

4. *Anything to please investors instead of customers*

Pleasing investors instead of customers must be some kind of disease. I don’t know what else to call it. Startups too often focus on the show while pitching a business idea to investors instead of proving their business concept and growth potential. Sadly, some investors foster such behaviors by raving about exciting pitches—those without a solid foundation and marketing background—just because the startup founder was so charismatic and put on a great performance during the pitch. Other startups notice this trend and the next time focus more on the pitch and the performance rather than verifying their business model and proving the business’s potential durability and scalability.

Trying to please potential investors has a reasonable justification: investors can bring money, their network, and quick solutions to some of the challenges of a startup. Yes, it’s true, but only if you have a valuable and verified solution. Customers, not investors, should be at the center of your startup’s radar. If the customer is happy and satisfied, many things follow automatically, including the investors standing at your door to provide you needed funds.

5. *Thinking that “we have no competitors”*

I don’t know why startups believe in such a fairy tale. In my global research on startups, I didn’t find a single case where there were no competitors. Anyone who knows at least

the basics of marketing knows that there is always direct and/or indirect competition. If your startup is developing some kind of innovation, it's possible that you won't have direct competitors for some time until you are copied. But if you are solving a real problem (which should nearly always be the case), there's already a way that people handle this problem. This is your indirect competitor! The customer's decision to ignore the problem is your indirect competitor as well! Why? Because there is an alternative for the customer: not to buy your product!

My in-depth interviews with startup founders showed that most of them did only a very sketchy feasibility study into the market competition. Only 33.9% of startups have evaluated their micro and macro business environment, while others hadn't even thought about it and were focusing mainly on market fit verification in the best case. It's better to ask yourself "how can we find out with whom we are competing" instead of thinking that "we have no competitors."

6. *We have brilliant idea and it will go viral by itself*

Really? Are you sure? Why should anyone recommend your service or product? What's in it for them to do so? I don't say people won't recommend you to their friends if your product or service is great. But it's very dangerous to rely on that. That is called "hope marketing," which basically means we do nothing in essence but hope for the best. Is it wise to make bets on such a strategy?

There are at least three types of growth engines clarified by Eric Ries years ago: viral, sticky, and paid. The sooner you take action to implement at least one of those engines, the faster your business start growing with the help of other people.

7. *A good growth hacker is all we need!*

About two-thirds of startups I interviewed said they would like to get help on business growth by so-called growth hacking. Growth hacking is a strategy whereby every decision made by the business is focused solely on growth. Of those, only half had already found their problem-market fit. Incredibly, this revealed that nearly one of five startups is willing to waste their energy and resources on growth hacking without having validated their value proposition.

Another surprising statistic is that only about 20% of startups have developed their up-sell and cross-sell strategies. It means that the other 80% of startups have no idea what they will do with potential customers even if growth hacking succeeds. They are not yet prepared to sell more and will basically leave money on the table.

The majority of startups strive for growth, but only a few of them have a well-prepared foundation to handle what growth hacking could bring to them. Don't waste energy on growth hacking until you've laid the foundation for growth.

8. *Marketing needs a huge budget, therefore we'll take care of it after fundraising*

If you are targeting a large-scale market, you'll probably need a big budget for communicating your unique value proposition. But it's simply not true that you can't start efficient marketing without significant funds. Not all marketing measures and tools need big money. If you want to see this can be achieved, take some time to read some books and articles about guerrilla marketing.

As my research showed, 47.9% of startups were already on the market, but only 17.4% had a consistent marketing plan and only 39.4% had developed their brand and positioning. Crafting positioning statements and creating marketing plans requires effort, not money!

Before putting money in a startup, any rational investor will check to see if there is traction. Investors need proof that the business model is viable and durable. How are you going to show it without doing any marketing? You are on the right track if you don't want to spend a huge amount of money on marketing in the early stage. But, you can still plan and run marketing experiments to find a problem-solution-market fit, validate your communication and distribution channels, and get some ideas about possible growth engines. Once you have that, you can prepare a comprehensive marketing plan with potential profit estimations and then seek out investors to ask for the budget you will need to implement your brilliant marketing plan.

9. *We'll enter the market with "big boom" launch*

Wrong! That's not efficient anymore! Big launches might be a strategy for the well-established, traditional business, but for startups, it usually just causes failure in the form of wasted money and insufficient sales. Startups typically introduce innovative products and services, thus they have to do things that don't scale at first: verify the market fit, acquire their first clients (early adopters), create user evangelists, test communication channels, and search for an efficient growth engine. Sometimes, a big launch might be a good marketing strategy for a startup, but only if you have done the aforementioned tasks and much more. It's much better to get some traction in advance before considering a big launch.

10. *Burning money instead of investing*

Sounds crazy? Who would do such an idiotic thing? You would be shocked at how many startups burn their investor's money by spending it on things that don't add value to the startup. Yes, it might feel comfortable and safe paying yourself a salary from the investor's money. And, it might be cool to work in a nice office and attend the greatest startup conferences and other events. But, what's in it for your startup? How does it help your business? One thing is definite: it increases your cash burn rate. The higher the cash burn rate, the less time you have to create a profitable and scalable business.

Startup founders with an entrepreneurial mindset achieve more because they see the difference between fundraised and earned money. They don't spend on shiny things but instead, they invest in what builds value for the startup.

The Concept of Startup Evolution Curve

Steve Blank (2010) cites Sean Ellis, a well-known expert on startup development, who stated that, “the cost of a consultant's time can never be justified working with startups pre-product market fit because the failure rate is just too high.” And I have to admit it's true. In my global research on startups, I found only a few exceptions to this observation. Most of the 1,447 startups I surveyed couldn't bear the costs of a marketing or business development consultant before they'd found their product-market fit and got on track to earn revenue. There were few exceptions, but those were startup founders who were serial entrepreneurs with solid personal and financial backgrounds who could afford to hire consultants at any time. But for startups that are bootstrapped from zero, with no connections and financial capital (as are most startups), hiring consultants can be extremely beneficial. Why? As I delved deeper into the research, I became more confident that a solid and hard-to-copy value proposition is essential for a startup to be successful. Sean Ellis believes that hired consultants can improve the growth trajectory *after the first business model is developed*. This means that startups are on their own to build a great value proposition by finding their problem-solution-market fit and the initial traction. Once you have that, you can attract investors and hire consultants to help scale your business, but at the very beginning—at the hardest period—startup founders are alone and have to find their way based on their own efforts.

The good news is that the results of my research are included here in the *Startup Evolution Curve*, the book you are holding, to help you with this issue.

Startups, unlike traditional businesses, can measure their success not only by revenue but also by the knowledge they gain on the way to confirming the problem-solution-market fit and building a profitable and scalable business. *Startup Evolution Curve* covers five stages of startup development with different objectives in each.

It doesn't much matter if you develop a buyable startup or any other kind of startup, this methodology keeps you focused on creating a profitable and scalable business. The concept can be applied to different kinds of businesses: whether it's an online or offline business, a service or a product, business-to-customer, or business-to-business. There are few exceptions (for example, medicine and biotechnologies) where this methodology would be hard to apply in whole, but different aspects could be adopted.

Figure 11. Main goals of each stage of Startup Evolution Curve

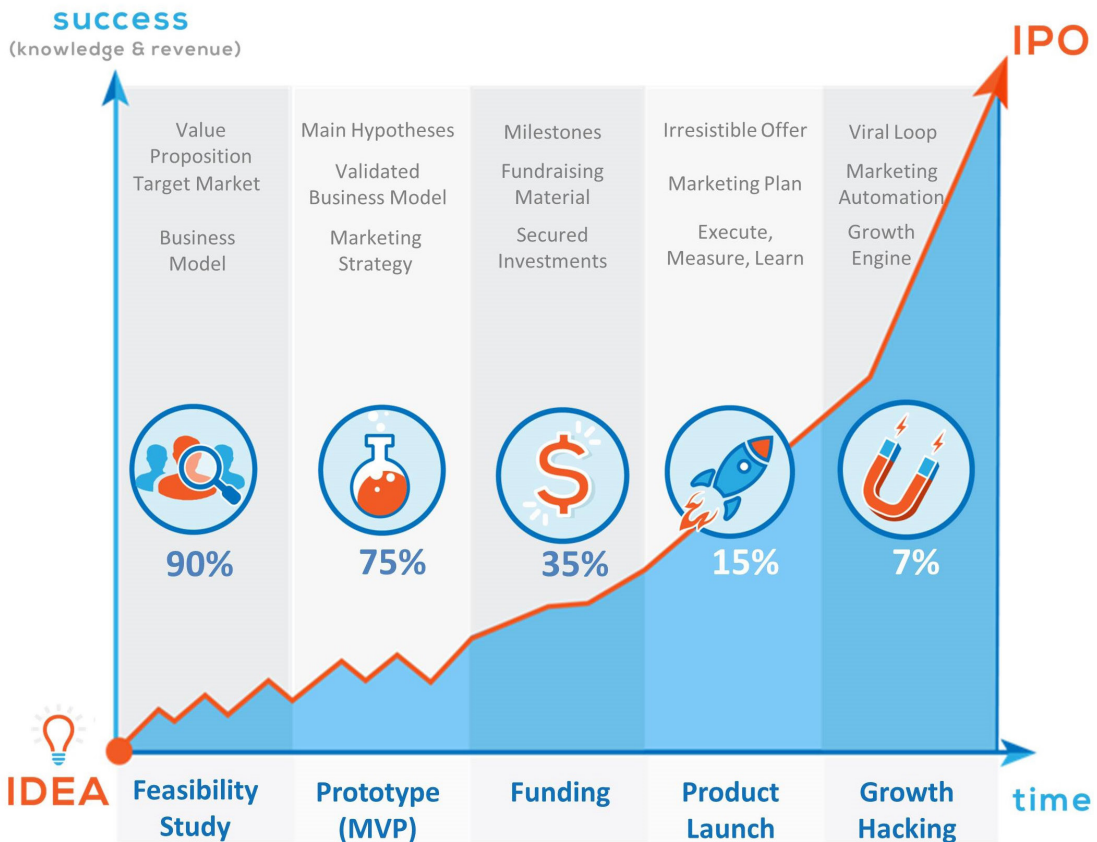


If you run an ordinary business, it's possible for you to learn from the experience of others, to check what works and what doesn't, what your competitors do, and how you could do something better. But this book is designed for business pioneers; for those who are taking their business journey to where no one else has gone before. Therefore, the *Startup Evolution Curve* goes up with each stage, even if there is some turbulence in building a solid base of knowledge or verified business model with an actual revenue stream.

Some tasks might look like they are being repeated in different stages in this book. This is intentional because many aspects of a startup business must be reviewed and updated at least a few times with deeper understanding and precision each time. Percentages in conceptual startup evolution curve (Figure 12) indicate the progress and how many tasks are completed in particular development stage. It's quite possible that due to iteration process startups will have those percentages changing up and down.

You can read this manual as an ordinary book—from the first page to the last one. But *Startup Evolution Curve* is designed to be convenient for people without much time

Figure 12. Concept of Startup Evolution Curve



and who want to take action right now. If this describes you, here is how you should use this book:

1. Choose one of the five stages you are currently most interested in
2. Review the topics to get an overview of what should be done in that stage
3. Review the “how to do it” infographic at the beginning of the topic and follow the instructions

If you are not sure which stage of the *Startup Evolution Curve* you should focus on first, take the online self-assessment test (www.evolutioncurve.com/test). It will help you to find out where to focus your attention to get the most value from this book in your particular situation. Plus, by answering the questions, you’ll better understand the whole methodology and get some insight into how you could improve your startup business.



Icons mark the tasks to be done in each lesson

Each stage of the *Startup Evolution Curve* has the same number of lessons to be learned, but each lesson includes a different number of tasks. There are 164 tasks in total. You can quickly run through these tasks highlighted by the icons to review the whole concept. Read those tasks that are most relevant to your situation and follow the instructions. If any questions arise, you are welcome to join the Startup Evolution Curve group on LinkedIn where members of the startup community and I share our experience and answer questions.

Key thoughts before you start:

1. The founder of a startup never feels relaxed until he sells all his shares of a venture and takes a well-deserved break before creating a new startup. You should not relax after successful fundraising. On the contrary, now it's time to prove the trust that investors put in you.
2. A one-man band will never sound as good as an orchestra. It's highly beneficial to have an advisory board of experts in different fields meaningful to your business. This can yield not only great insights, but valuable connections, investments, and even your first clients. Don't be too self-contained. It's better to seek out potential advisors.
3. Testing, testing, testing! Never stop testing, but do it reasonably. Get used to the fact that you'll have to run many tests and most of them will end up in failure. During my research, I didn't meet a single startup that became successful without raising weighted hypotheses and wisely testing them one by one. To build a successful startup without testing is something like winning a jackpot in a lottery, but the failure price in the startup is much higher.
4. Use wise metrics and measure only what really matters. It's good to see growing numbers and justify your decisions. But only wise metrics show your real progress towards a profitable and scalable business. Don't become obsessed with useless vanity metrics.
5. Get used to planning and change your plans quickly. In today's economy, not the largest but the fastest wins. Use any online or offline planning tools that are convenient for you, check templates at Evolutioncurve.com, or at least plan on a whiteboard in your office or at home. If you want to keep progressing, you must keep track where you are now, where you are going, and what tasks you should do next.

I sincerely hope this book not only will give you some insights, but will also help you to gain additional knowledge, mindset, and needed skills.



Stage 1: Feasibility Study

Generally speaking, a market feasibility study is a way to minimize a startup's risk. Why should you develop products or services that customers won't buy? Why should you risk creating a non-profitable business? My global research on startups that I conducted in 2016 showed that 1 hour spent on a qualified feasibility study saves 2.7 work days (or 21.6 hours) on average in product development and market entry stages. That's amazing return on investment (ROI) of your time. So don't ever assume that a correctly performed feasibility study is a waste of time. I've personally conveyed a number of feasibility studies in recent years and can tell you that it can save huge amounts of money as well. I remember a \$59 million case where the startup founders already had investments from Switzerland, but the feasibility study showed that their project as it was planned has no chance to become a profitable business. Even if everything went according to the most optimistic scenario, they could expect only about 80% of the revenue needed to reach the break-even point. It was sad and disappointing that such huge business project was never launched, but the feasibility study helped avoid burning out \$59 million!

The correct attitude to market feasibility study should be to find out what customers need and want, check whether it's a profitable opportunity, then create and give it to them. Following this, the market feasibility study:

- reduces the amount of time, money, and energy it takes to create profitable products and services
- aligns your solutions and possible offers with customers' needs and wants
- helps to increase targeted traffic and bring you more potential customers
- increases the likelihood that customers will like and trust your product or brand more
- allows you to achieve higher sales conversion and retention (get new customers and sell more to existing ones).

Usually, the preliminary feasibility study is performed based on secondary data (information which is already collected by somebody else). It's much cheaper or sometimes

even totally free, allows you to approximately evaluate the potential of your idea, provides insights how it could be adjusted, and identifies what you should test in practice. In the empirical part of the feasibility study you have to collect data by yourself: run surveys, interviews, and experiments. The goal here is to test assumptions about your business idea and get as solid as possible facts how this business idea might work out in the best way.

Main goals of this stage:

- ✓ create a value proposition
- ✓ evaluate the potential market size
- ✓ define a possible business model

1. The Essence: Define the Value Proposition

WHY IT IS NEEDED

The very first step of what you should do is to define what value you will deliver to your customers. I mean this seriously! If you can't describe what real value you provide to your customers, you shouldn't plan anything else and you shouldn't build any products. This is a vital and most important step. The essence of a successful startup is not about the modern technologies, fancy innovations, venture capital investments, or large media coverage. The value proposition is the critical element for startup success. If you can create real value to potential customers, it will be much easier for you to:

- attract investments (which might be necessary for creating and delivering the value proposition)
- earn consistent revenue and profit
- get viral word of mouth recommendations to help grow your business fast.

The outcomes of creating your value proposition and using it in your sales strategy can be significant. The following are real examples of startups that created very efficient value propositions:

- *Classroom* is a social platform dedicated to helping parents and teachers have better and more qualified communication. Without any promotion, they have acquired users from 37 different countries including Malaysia, Brazil, Egypt, United Kingdom, France, India, and Saudi Arabia.

- *Share2Style* collected more than 1,000 pre-registered users in one week. Within a few days after their launch, they received proposals from a few investors without putting any effort towards fundraising.

WHAT'S IMPORTANT TO KNOW

According to Osterwalder and Pigneur (2004), a company's value proposition is what distinguishes it from its competitors. It is the collection of products and services a company offers to meet the needs of its customers. The value proposition provides value through various elements such as newness, performance, customization, design, brand, status, price, cost reduction, risk reduction, accessibility, and convenience, etc. In other words, a value proposition is a promise of what a customer will get from your business. Generally, it is the main reason why a customer would choose to engage with your company instead of your competitors. It is a concise statement that highlights the relevance of a product offering by explaining how it solves a problem or improves the customer's situation.

The value proposition should be seen from a wider perspective than just a listing of what benefits the company can offer the customer. Usually, there are three levels of value emphasized in value proposition (Table 2):

1. *List of features.* Though it's not very effective, a list of features is the easiest way to construct a customer value proposition. You simply list all the features the offering might deliver to target customers. Some people mistakenly think that the more features can be listed the better, but that is not always the case. This approach requires the least knowledge about customers and competitors and, thus, it is the least effective.
2. *Points of difference.* Regardless of the product or solution, customers always have the option to buy a similar product at a competitor or solve the need in another way. Therefore, companies should focus on how to differentiate one product or service from another in the market by citing their points of difference. Listing the points of difference is a more efficient method to create a value proposition rather than a list of benefits. However, there can be a problem when a product or service has several points of difference from the rest of the market: it becomes difficult for a customer to understand which ones deliver the greatest value. Therefore without knowing the customers' preferences and what it is worth to fulfill them, companies (especially startups) may stress points of differentiation that deliver relatively little value to the target customer.
3. *Customer-oriented value.* This approach is well suited to the B2B (business-to-business) market but could be adopted in most B2C (business-to-customer) market cases as well. Customers are more likely to buy from those providers who fully grasp critical issues and deliver a simple but powerful value proposition

that is most appealing to customers’ current needs. The company can create a customer-oriented value proposition by making the offering superior on the few attributes that are most important to target customers. They must also demonstrate the value of this superior offering and communicate it in a way that resonates with their customers’ priorities. In other words, the company must show the exact value this offer can deliver to the customer.

Table 2. Types of value proposition

	List of benefits	Points of difference	Customer-oriented value
Consists of:	All the benefits customers receive from an offer	All favorable points of difference compared to competitors	The key points of difference which deliver the greatest value to the customer
Answers the customer question	Why should I buy it?	Why should I buy from you instead of your competitors?	What true value will I really get? Why is this offer so beneficial for me?
Requirements	Knowledge of own offers	Knowledge of own offers and closest best alternatives	Knowledge of how own offer delivers superior value to customers, compared with closest best alternative
Potential pitfall	Benefit assertion	Value presumption	Requires customer value research and should not be built just on assumption

For a long time, traditional companies using classical marketing techniques built value propositions on one of three main strategies:

1. *Operational excellence*—customers just want a good product at the lowest possible price. In this case, companies are not trying to come up with new or better products, just trying to produce more volume at a lower cost. This strategy works when there is a possibility of achieving economy of scale.
2. *Product leadership*—customers care most about the product and want to get the best. Companies are dedicated to innovation and quality and are constantly working on improvements that can be brought to the market. Keeping an eye on competitors and trying to stay one step ahead is a requirement for this strategy to work.
3. *Customer intimacy*—the market is full of similar products and services at various quality and price points. But, customers are not always satisfied with just a standard product. They want customized solutions. Companies are trying to learn as

much as possible about customers' needs and put their efforts into building successful relationships so they can deliver the most compelling products, services, and solutions.

The customer-oriented value proposition and the customer intimacy strategy allow companies to achieve the greatest results in a free market economy. Therefore, any innovative business should first take the customers' perspective and define what value can be delivered.

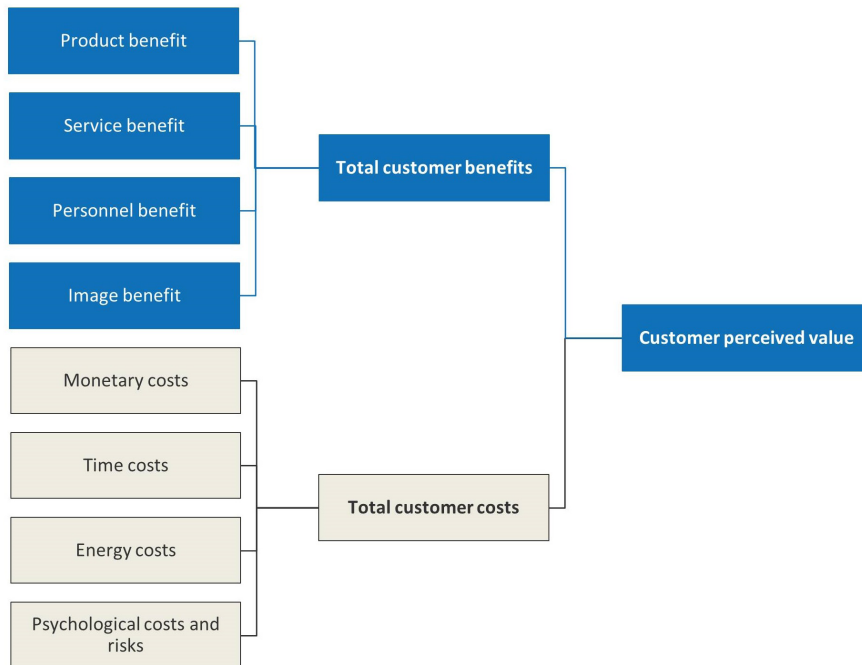
When you create your startups' offer to a customer (regardless if it is a B2C or a B2B market), you should always evaluate how the customer perceives your total value proposition. It's important to understand that most customers will consider the sum total of all your offerings and experiences during their interactions with your company. The offerings are usually the **WHAT** you sell and deliver, and the experience is the **HOW** you do it. So it's not enough to just write down a great commercial offer or give an appealing promise to the client. You must deliver it in a manner that brings the best experience for your customer. Sometimes you shouldn't even inform the customer, you should just do it. As an example, there is no point in telling your customer that you are very helpful and provide outstanding customer support. Customers will feel and see how helpful you are from the very first interaction, whether they are visiting the website, downloading your app, or meeting with your sales executive. To succeed with your innovative business idea, you must fully understand the rational, emotional, social and sometimes even political elements of the value you deliver.

There are many theories explaining *perceived value*, the method by which customers evaluate offerings and make a decision to purchase. But the classic concept of perceived value is probably the simplest, yet easily applied in practice. Every offer provides both benefits and costs to the customer, as shown in the diagram below:

Looking at Figure 13, where you could create additional benefits for your target customers? Where can you help them cut costs? If the benefits outweigh the customers' costs, the perceived value is positive, therefore your value proposition is logically acceptable. But don't fall in love with your value proposition just yet! Even if the customer's perceived value is positive, it doesn't mean that the customer will buy from you. Why? Because your offer is probably not the only one in the market! If you want to check if your offer is truly good, you should evaluate at least your main competitors' offers (more about this in next chapter).

The best way to understand the value you deliver is to put yourself in your customer's shoes and to involve the customer in the creation of your value proposition. As Steve Blank and Bob Dorf (2014) noted: "*in a startup, the founders define the product vision and then use customer discovery to find customers and a market for that vision.*" Authors in their

Figure 13. Structure of customer perceived value



Startup owners manual also suggested four startup development stages which are very important in crafting the value proposition:

1. *Customer discovery* captures the founders' vision and turns it into a series of business model hypotheses, which have to be tested and turned into facts
2. *Customer validation* tests whether the defined business model is repeatable and scalable (if not, you should get back and repeat customer discovery)
3. *Customer creation* is the start of execution, which builds end-user demand and drives sales to scale the business
4. *Company-building* transforms an early stage startup into a company focused on executing a validated business model.

You should craft your value proposition in the very first stage and then test if it is meaningful and appealing for your customers. If it's confirmed, you can build your business model around it. If not, you should go one step back and redo your value proposition. To make the process easier, I would recommend using the value proposition canvas introduced by Alex Osterwalder, Yves Pigneur and Greg Bernarda in *Value Proposition Design* (2014). This tool helps startup founders design, build, test, and manage their customer value propositions. Some of the steps in "how to do it" section are based on tasks arising from this canvas. For a better understanding of this concept, I highly recommend you to spend few hours reading the book *Value Proposition Design*.

You are free to choose any methodology for creating your value proposition, but if you want it to be effective, the value that you intend to deliver must be:

- important to the customer
- unique and hard to copy
- strong enough to initiate word of mouth

Your customer should be able to read and understand your value proposition in about five seconds. It has to communicate the concrete results a customer will get from purchasing and using your products or services and it must differentiate your product from your competitors. Creating your value proposition means that you have one vision of what you are providing for your customers. This is like the master blueprint from which all sales stories, marketing messages, and individual offers are developed. This saves huge amounts of effort, time, and resources on the part of the sales and marketing staff, internal communications, and product development people, who otherwise might have totally different perspectives on the value they are creating.

HOW TO DO IT





Indicate your business idea and target customer

Start by writing one sentence that describes your business. Don't worry too much about how nice and precise it sounds. It's just a starting point that will help to focus your attention. The main objective here is to answer what general or specific value your business intends to create for other people. Here are some examples:

- *Pixpie* is platform which optimizes content loading on mobile devices
- *Share2Style* allows you to earn affiliate commissions from global fashion brands
- *SlideModel* professionally designed and easy to use PowerPoint templates

Identifying your target customer is the next step. Describe the customer for whom you are developing a solution. What kind of customer (person or company) would benefit most of your proposed solution and how? You can check for ideas how to do it in chapter 3 Segmentation and potential market size. Here are some examples:

- *Pixpie* helps content publishers to serve their readers faster and allows media agencies to show more ads at the same time.
- *Share2Style* offers fashion bloggers over 1,000 global brands with hundreds of thousands of products that can be easily used for creating collages to publish onto their blogs instantly. Bloggers earn money once their visitors purchase any of the items from the collages.
- *SlideModel* - helps to save hours of valuable time for individuals and businesses creating professional presentation decks with little effort and without the need for design skills.



Identify all possible customer problems, jobs, and gains.

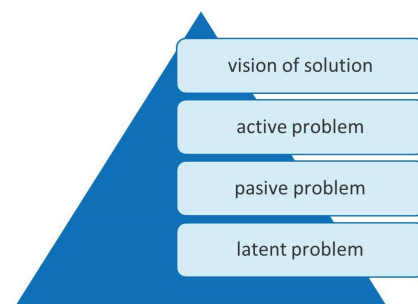
1. Start by identifying and documenting your customers' real problems in precise terms

Evaluating your customers' real problems and needs is an important step if you want to create a really great value proposition. Write down all the challenging issues your target customer has to face, including risks and obstacles. It might be helpful to have in mind that Steve Blank and Bob Dorf distinguished four types of problems customers can have:

Latent problem - they have a problem but aren't aware of it yet and don't think about it

- *Passive problem* - they know of the problem but aren't motivated to look for opportunities to solve it

Figure 14. Problem perception levels



- *Active problem* - they recognize a problem or passion and are searching for a solution but haven't done any serious work to solve it
- *The vision of solution* - they have a problem, they want to solve it, and may even have a workaround, but are prepared to pay for a better solution.

It is important to describe the customer's problems as precisely as possible. For example, when a customer says "*I hate to wait for videos and photos to be uploaded on a mobile device,*" you should also ask about their tolerance for an upload time. A more precise description of the problem would be, "*Customer doesn't want to wait more than x seconds for the video and photo content to upload on their mobile devices.*" When you can precisely measure the target customers' problems, you can create better products and services to solve those problems.

List as many problems as you can, but keep in mind, those problems must be real and important to your target customer, not just to you. As an example, *Tech4Freedom* has developed a device for spatial recognition and audio description for the blind people. This project generated a great deal of excitement at *The Telecommunications Night* event in Barcelona, has received awards for social commitment, and has attracted interest from associations of blind people in 14 countries. The prototype testing process created an echo in the media outlets, which led to Jaume Cunill, CEO of *Tech4Freedom*, to contact different target customer and partnership groups in Europe. That once again confirms how important it is to focus on solving a serious problem, instead of just creating a nice-to-have benefit.

You can use sticky notes for each problem during the discussion, but later it is best to list them as shown in Table 3. The table also shows some example questions you can use during your interviews and discussions (an Excel template is available for download).

2. Identify all possible jobs and tasks that customer is trying to complete

Jobs describe the tasks your customers are trying to get done in their business, at home, or even during their leisure time. A job could be a simple, routine task they are doing every day (downloading media, for example) or something more challenging and complex they are trying to implement and complete (selecting and implementing a new CRM, for example). Jobs sometimes depend on the specific context in which they are performed, therefore you may also have to make note of the specific context in which the job is performed (for example, only during non-production hours or on weekends).

Just like customer problems, not all jobs will have the same priority and importance to your customer. Some may have a higher priority because failing to get them done could cause other major problems. Others can seem totally insignificant in the current mindset

Table 3. Discovery of customers' problems

SEGMENT: _____			
No.	PROBLEMS	Importance 1 - 10	QUESTIONS
			What makes customers feel frustrated and annoyed?
			What requires too much time, efforts, or nerves?
			What costs too much? And how much is too much?
			What risks do customers fear most?
			What are they afraid to lose or not to achieve?
			What keep customers awake at night?
			What's lacking in current value propositions on the market? What features and benefits are missing?
			What common mistakes do customers make?
			What are barriers that might keep customers from adopting a new value proposition? Are there any investments of money, time, and effort needed?

of the customer. Alex Osterwalder, Yves Pigneur and Greg Bernarda in *Value proposition design* (2014) summarized all possible customer jobs into four main categories:

- *Functional jobs* - customers try to perform or complete a specific task or solve a specific problem (e.g., brush their teeth in the morning, prepare breakfast, wash the car).
- *Social jobs* - customers want to look good or gain power or status, to be perceived by others in a specific way (e.g., to look fashionable, to be popular at school).
- *Personal/emotional jobs* - customers seek a specific emotional state (e.g., feel more secure, get rid of the feeling of regret, confirm a decision they made).
- *Supporting jobs* - the customer has different roles (buyer, co-creators, the transferor of value) therefore additional supportive jobs arise. These jobs can be related to buying value (e.g., comparing offers, deciding which products to buy, bringing products at home), to co-creating value (e.g., posting product reviews, participating in focus group during the design of a product or service), and to the end of a value proposition's life cycle (e.g., canceling a subscription, disposing of or reselling used product).

List as many jobs as you can, but keep in mind, those jobs must be real and important to your target customer, not just to you. You can use sticky notes for each problem during the discussion, but later it is best to list them in a table such as an example shown below. Table 4 also shows some example questions you can use during your interviews and discussions (an Excel template is available for download).

Table 4. Discovery of customers’ jobs

SEGMENT: _____			
No.	JOBS	Importance 1 - 10	QUESTIONS
			What do customers have to do to every day in a job or at home in the context of my product or service?
			What do customers dream about? What do they have to accomplish to achieve their main goal?
			What do customers have to do for other people or together with them? What’s so important about that?
			Which tasks and activities are unpleasant for the customer?
			What would customer like to avoid doing?
			How do customers want to feel? What tasks do they have to do for that?
			How would it be possible to make use of current products easier or more pleasant?

3. Identify all possible gains the customer would appreciate

Think about as many as possible gains, outcomes, and benefits your customer would be happy to receive. Be as specific as possible. For example instead of “Customers would like to spend less on upgrades” consider “Customers would like to reduce the cost of upgrades by 20% on cash outlay and 25% of labor costs.”

List as many gains as you can, but keep in mind, those gains must be real and important to your target customer, not just to you. You can use sticky notes for each problem during the discussion, but later it is best to list them in a table such as an example shown below. The table also shows some example questions you can use during your interviews and discussions (an Excel template is available for download).

For illustration purposes, I’d like share with you the experience of Patricia O’Sullivan, the founder of AutoPixie. AutoPixie is a mobile app for auto mechanics that saves time by explaining car faults to car owners and automating all the paperwork. There are three main benefits for auto mechanics in this app:

1. AutoPixie explains faults to car owners in a way they understand, resulting in rapid decisions.
2. Using a little psychology, AutoPixie enhances trust, builds respect, and secures on-going loyalty.
3. The app automatically builds estimates, parts orders, and invoices, eliminating this annoying part of the car repair process for both the mechanic and the customer.

Table 5. Discovery of customers’ gains

SEGMENT: _____			
No.	GAINS	Importance 1 - 10	QUESTIONS
			What do customers dream about? What they desire most, even if it seems not realistic at the moment?
			Which savings (money, time, efforts) would make customer most happy?
			What quality do customers want? How should it be modified?
			What would make the customer’s life easier?
			What makes customers look good and feel great?
			What would eliminate customers’ risks and their possible problems in the future?
			How would customer like to feel in a particular situation?
			What would encourage customers to try and adopt this value proposition?

Here is how Patricia came up with her value proposition: *“I interviewed 106 auto repair shops in 5 countries about their frustrations and pains. Some I interviewed 5 or 6 times to dig deeper and deeper into pain points. I never once mentioned software. Just said I had been a small local business owner and my business had failed in the recession and I was starting again and hoping that something that was a problem for them might be an opportunity for me. This prevented them thinking about software they knew and freed their minds to think of pain points. I documented everything and the top three all sounded like they were things software could not fix. Then one day while at the dentist, I had a sudden insight into how software could pretty much eliminate the three top pain points. If I had focused myself and others on things we thought software could do we would have talked about ‘me too’ solutions, instead we were free to think creatively and laterally.”*

Prioritize the puzzle: arrange all problems, jobs, and gains by the importance to the customer

Next, you want to sort the problems, jobs, and gain by the importance or priority to the customers. Pay particular attention to the method you use to rate the importance. You can do it in one of two ways:

1. *Based on assumptions*—the evaluation is based on your assumptions, guesses, or one of the potential customers’ subjective understanding. It is far better to

have in mind your customers’ assumptions instead of yours, but in either case, they are just assumptions that might be far from the truth.

2. *Based on real facts*—this means that the particular statement is proven by statistics, technical specifications, or some other kind of facts. Sometimes you can find secondary data proving one or more statement, but for startups, it’s typical for the initial concept of the product (or the entire business model, for that matter) to be based on assumptions which have yet to be validated (more about this in Stage 2: Hypotheses and Experiments).

It is helpful to arrange the problems, jobs, and gains in three separate columns with the most important problems, jobs, and essential gains at the top, and with the less painful problems, least important jobs, and nice-to-have gains at the bottom. Using this Excel template (Table 6) will make it much easier to arrange and to see the whole picture.

Table 6. Prioritizing customers’ problems, jobs, and gains

SEGMENT: _____					
PROBLEMS	Importance	JOB	Importance	GAINS	Importance



Bundle the solution - which customer problems and gains will your value proposition address?

Now, review the most important problems and gains you listed in the previous task and think how you could help your customers to:

- achieve their goals and deal with challenges
- save time, money, or effort
- avoid mistakes, failures, and risks
- reduce their pain points
- feel better and look good in other people’s eyes
- make their work or personal life easier
- get better quality and higher performance for their current solutions
- get something specific that they are looking for but can’t find

Now that you have a clear picture of the customers’ problems, jobs, and gains, it time to describe which of their problems you intend to solve and what extra gains you plan to create. Once you are absolutely clear on what you are going to address, try to cross-references those *pain relievers* and *gain creators* with your ideas for your products and services. It might just be that one product or service will solve multiple problems and provide multiple gains. Don’t forget to evaluate the importance of each pain reliever and gain creator for the customer. A best practice to focus your products and services based only on those pain relievers and gain creators which rate at least an 8 out of 10 in importance to the customer.

Table 7. Prioritizing customers’ problems, jobs, and gains

CORE OFFER: _____ (what exactly we will offer to the target customer)				
PRODUCTS	PAIN RELIEVERS	Importance	GAIN CREATORS	Importance

You will end up with a list of all the products and services your value proposition is or could be built around. You can read more about tactics to create profitable product bundles in Chapter 31: Profit hacking: leads, conversion, and economics.

Define your main value proposition in one simple and clear sentence.

Now that you have identified what solutions and gains your products or services will offer to your customer, it’s time to define your main value proposition. There are more than few different recommendations for how to write a value proposition, but at the very least, it has to address three main questions:

1. What exact value you will create?
2. For whom will it be delivered?
3. How will you do this or how is it different from other alternatives available to your target customers?

Explain your value proposition in one simple sentence that even your grandmother could understand. Don't use jargon, slang, or acronyms. It might be helpful to just start writing the sentence and work iteratively until you are satisfied. Or, work collaboratively with some other members of your team until you all agree that you have captured the essence of your value proposition.

After successfully finishing the tasks in this chapter you should have completed the following:

- ✓ have defined the target customer for whom your value proposition is designed
- ✓ brainstormed about product or service addressing at least one main problem or desired benefit of your target customer
- ✓ explained how your product or service solves your customer's problems and creates gains for them
- ✓ have proposed a solution that is unique or very different from current offers in the market
- ✓ written a simple, one sentence value proposition that clearly and concisely communicates what value your proposed product or service will provide your customers.



Recommended reading

1. Alexander Osterwalder, Yves Pigneur, Gregory Bernarda, Alan Smith. *Value Proposition Design: How to Create Products and Services Customers Want (Strategyzer)*
2. Eric Ries. *The Lean Startup: How Today's Entrepreneurs Use Continuous Innovation to Create Radically Successful Businesses*
3. Steve Blank, Bob Dorf. *The Startup Owner's Manual: The Step-by-Step Guide for Building a Great Company*
4. Cindy Barnes, Helen Blake, David Pinder. *Creating and Delivering Your Value Proposition: Managing Customer Experience for Profit*
5. Peter Thiel, Blake Masters. *Zero to One: Notes on Startups, or How to Build the Future*

2. Alternative solutions & competitive analysis

WHY IT'S NEEDED

No matter what kind of product or service you are planning to offer, you should research what's already on the market and ways your customers are already solving the problem. For example, if there is a real, existing problem looking for a solution, your customers are probably already using some variation of your solution or some workaround. For example, when automobiles were first manufactured, horses and carriages were the main competitors. People already had a solution to their transportation needs, but the automobile created innovative and superior gains and benefits for the customers. So, even if you think you have an absolutely brilliant solution, your need to spend some time to research how people are currently dealing with the particular problem.

The goal of a competitive analysis is to help you avoid being blind to the validity of your own ideas when compared to the direct or indirect competition. You will undoubtedly spend a lot more time on competitive analysis, but at this early stage, you should at least check to see how your value proposition looks in the context of your competitor's solutions and the alternative ways customers are already solving the problem. By conducting even a simple competitive analysis, it will help you avoid being too passionate about your idea and perhaps even blind to the fact that it might not be as unique or innovative as you want to believe. Furthermore, it will also help you to save money on creating prototypes and testing them. By analyzing current solutions and what better options can be proposed, you can gain valuable knowledge for improving your value proposition even without any major experimentation.

Once you finish this simple analysis, you'll be able to show your target customers and potential investors how your solution is better and what unique value you deliver that can't be provided by any other means. You'll have the answer to the most important question: why customers should buy from you instead of your competitors or keep using their solutions. You'll be able to show that you see the whole picture of the market situation and that you have something unique and valuable for your target customers and your potential investors.

HOW TO DO IT



Google for the solution of the problem you intend to solve.

Keep in mind that your competitors aren't who *you* think they are. Your competitors are who *your customers* think they are. It's a good idea to start the competitive analysis as if you were a potential customer and look for solutions to the particular problem. The Internet makes conducting a competitive analysis easier than it has ever been, even for those products and services which are not sold via the Internet.

Begin by running few of searches with the most appropriate keywords that could be used by potential customers or using keywords that search engines recommend. Look through the list of results in both paid and natural search results. You won't get all of your possible competitors (especially if your product is truly unique or innovative), but you will get those that are working hard to get traffic to their websites. A few other ways to search include:

- *Google Adwords keyword tool*—allows checking how many searches per month are performed with select keywords. If you see that people are looking for some

kind of solution, problem, or benefit, that might be a good indicator that you are on the right track with your value proposition.

- *Google Trends*—basically show what the trendiest keywords are and how their popularity changes over time. If you see specific keyword related to your value proposition, check the trend. Is it increasing, decreasing, has seasonality, or isn't visible at all?
- *Google Alerts* - once you know how your closest competitors, you might want to be updated once they are mentioned somewhere online. Google Alerts does exactly that—lets you know when it notices new content with a specific keyword. (You can set up an alert on your startup or brand name to see if anyone else is talking about you.)

In addition to Google and other search engines, you can also use social media, product reviews, and app marketplace sites to see what customers think of your competitors, as well as get some indicators on how many followers and fans they have. Furthermore, it's quite possible that you'll find free-of-charge solutions to the problem in the form of advice, how-to articles, free downloadable tools, apps, and all kinds of other resources. And, don't be mistaken—these are your competitors, too!

Use a table such as the one below to document how your competitors and customers are dealing with the problem for which you are proposing a new solution.

Table 8. Problems and their best solutions today

Problem	Today's solutions	New solution

A word of advice: the challenge with conducting a competitive analysis in this manner for really innovative products is that they are unknown for most potential clients, therefore clients don't search for such products and your search results may yield little useful information.



Talk to at least 10 people who encounter the problem you are proposing to solve

The main goal here is to get insights into how this particular problem is being solved today. What options are currently available? What types of customers choose one particular solution over another? What factors influence their decision? Based on experience, the most valuable insights are usually extracted from interviewing three main groups:

1. *Ordinary users and expert users of today's solutions* are your potential clients, so take some time to get to know them better. Find out how you can provide them the best solution to the problem or an extremely valuable benefit or gain, which they may have never dreamed possible.
2. *Experts in particular markets* can tell what is selling the best, where the highest profit margins are, how customers are making decisions, and what motivates them the most.
3. *Experts in production and technology* will often tell you how it is difficult or even impossible to do one or another thing, but these are exactly the people who will help you to find the way to build an innovative solution, once you gain insight as to what exactly needs to be developed.

You can use recommended form (Table 9) in order to conduct more structured interviews and get meaningful insights during the interviews with experts. You don't have to exactly follow the same guidelines, but experience has shown that in most cases these aspects trigger valuable findings.

Table 9. Customer interview findings card

Respondent's name: _____ Date: _____	
Aspect to discuss	FINDINGS
Is it a painful problem?	
Is it a meaningful gain?	
Situation walkthrough	
Current solutions and what's missing in them?	
Important criteria?	
Ways of searching for solutions?	
Feedback about the new proposed solution?	

Once you have gathered some initial insights from qualitative research (for example, individual interviews with a few clients and market experts), you can run an online survey.

This allows you to have a quantitative evaluation and better understanding of how each aspect is important to your target customers or even the whole market, instead of just having initial insights from few persons.



Check the offerings of both direct competitors and indirect competition

After spending some time searching for particular solutions and conducting interviews with users and experts, you will start to have a rough picture what's available in the market for your ideas. A competitive analysis will have little practical use if you don't look at your own value proposition. Therefore, place your findings aligning your value proposition side by side with your competitors' offerings and see how you match up. If there are many competitors in the market, you should group them by similar value propositions and define how many competitors are offering each type of value. You should analyze as many competitor groups as seems reasonable.

Ventafun, a startup from Spain, is a social network focused on influencers. It connects brands with influencers and influencers with their followers. Brands upload their products to the platform and influencers add those products to their profiles. Influencers promote both their profiles and the products they curate and get a commission on every sale. Ventafun was not the only one who provided the influential people with the possibility of earning extra revenue by promoting some products. Founders of Ventafun have analyzed over 90 competitors, whom they considered as key players in the market, and found two key issues:

1. Affiliate marketing platforms were really difficult to use and had a very high churn rate.
2. Influencer marketing platforms were usually focused on a single platform, paid attention only to influencers and brands, and didn't think about the consumer (product buyer).

Ventafun knew they needed something different, including a more special connection between all types of users (product providers, influencers, and product buyers). Once they understood that they must provide users with more than just money in the form of discounts and commissions and that they needed to create a better user experience, that was their *Eureka!* moment. After conducting the initial competitive analysis and in-depth interviews with early adopters, Ventafun decided that the platform should help to build a community around the influencers and the products. That community would give confidence to consumers to buy and convenience for the influencers. Carlos Tíscar, co-founder of Ventafun, summarized: *"We need more engagement with our users, we need products on the platform, and we need to provide customers a better online shopping experience throughout their favorite influencers and an educated buying experience complemented with good quality content on the products they search."* Well, I would say that's quite a detailed picture of how you plan to deal with your competition!

Table 10 will be useful for gathering and systemizing the data for the competitive analysis:

Table 10. Comparing main offers in the market

	Our offer	Competitor group #1	Competitor group #2
Main value proposition: What exactly is included in the main offer? How is the problem being solved?			
Additional value: What extra benefits are offered? Are there any special conditions which make this offer more attractive?			
Technical and other details: Provide more specifics about technical (if applicable) and other details of product or service.			
Customer's cost: How much money, time, and effort does it cost for a customer to obtain this solution to a problem or realize a gain?			
Pros and Cons: Brief summary how this offer is better and what are the reasons this offer might be rejected by the customer.			

Once you have identified the main competitors and made a brief summary of their offers, it's time to identify indirect competitors. It is worth noting that my global research on startups showed that more than 42% of early stage startups didn't analyze their indirect competitors, which was a huge mistake for most of them because their value proposition was built on the wrong assumptions without analyzing the full picture.

For the indirect competitive analysis, you need to think a bit outside the box. How else can this same problem be solved or the gain realized? Look at the big picture of the situation. Maybe there are solutions that cost no money at all, but customers must put more effort and time? Maybe there are alternatives that make the particular problem unimportant? Maybe there are some circumstances where the customer won't be willing

to solve the problem at all? Add some more columns to the competitor offer summary table (above) describing the indirect competition.



Draw your value curve according to Blue Ocean strategy and find gaps where you could fit in

The concept of Blue Ocean Strategy developed by W. Chan Kim and Renee Mauborgne (2005) is very intriguing for startups. It aims to create value innovation not to compete, but to make the competition irrelevant by changing the strategic playing field. It assumes that market boundaries and industry structures are not as fixed as they seem to be, and can be changed by the actions and beliefs of industry players. In order to achieve that, it requires focusing on innovative value—the creation which can unlock the new demand. This is usually achieved via the simultaneous pursuit of differentiation and low-cost. As the market structure is changed by breaking the value and cost tradeoff, so, too, are the rules in the market changed.

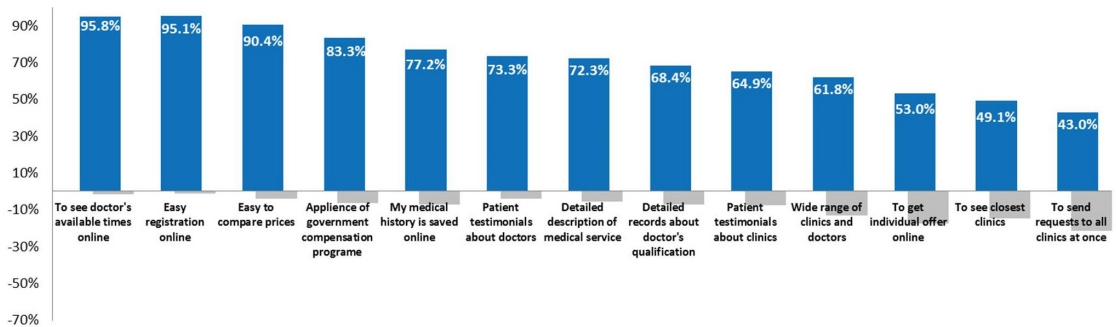
The Blue Ocean Strategy suggests that you draw the proposed value curves for your products and competitors' products and determine how innovative value can be created. It might sound complicated, but, actually, it's not, especially if you use the template from www.evolutioncurve.com and follow the steps below:

1. *Define criteria for how value can be perceived and measured in your situation.* A few years ago, I was working on an idea and invested my personal savings to build an online platform that helps patients choose clinics and doctors for various medical services (from a simple blood test to heart operations and plastic surgery at the most prestigious clinics). So how would the value of such an online platform be perceived by users? What's important to them? To figure this out, I ran five focus groups with different target customers in my country and abroad as we were targeting to the medical tourism niche as well. I only asked two questions for potential customers: 1) how do they choose a new clinic or doctor and 2) what would they expect from an online platform to help them to do that? Results from all five focus groups were quite similar in terms of what creates value for them:
 - a wide range of clinics and doctors to choose from
 - easy to compare prices
 - easy registration online (no need to call to book an appointment)
 - ability to see doctor's available times online
 - honest patient testimonials about doctors
 - honest patient testimonials about clinics
 - a detailed description of medical service
 - detailed records about doctor's qualification

- to see which clinics are in the closest location
- to see which clinics apply for government compensation programs
- to have personal medical history saved online
- to get individually customized offers online (without traveling to the clinic first)
- to send one request to all selected clinics at once

2. *Find out how important each of those criteria is for your customers.* You can do this by running a survey with Likert's or percentage scale questions. Ask the potential user to rate the importance of each criterion on a scale of 1 to 10 (1—totally unimportant, 10—absolutely necessary). I did the same for the online medical platform. By surveying 527 target customers (patients of private clinics), it allowed me to find out the importance of each of those criteria (Figure 15) and where to focus my main attention.

Figure 15. Importance of different value criteria for target customers



3. *Evaluate your offer and your competitors' offers to see how well they deliver value according to your criteria.* I recommend evaluating on a scale of 1 to 10 (with one being low and 10 being high) how each offering delivers value on each criterion. If the evaluation is 10, it means this is the best proposition in the market according to particular criterion and the customer doesn't even dream about anything better. Accordingly, a rating of 5 means that this is an average proposition in the market. It is not bad, but it is also not outstanding. There is an example in Table 11 that shows how value is delivered by the current options in the market: private clinics that work as standalone (one website - one clinic), state medical platform (unites only some of the public and none of the private clinics), private medical platform (the only online platform that unites many private clinics). A new medical service platform will have to compete with all those options, but the private medical platform will be the main competitor. To succeed in the market, the new platform must provide some kind of value innovation by offering something that is different and significantly better. The last column in Table 11 shows the strategic decision on how the value for customers will be created).

Table 11. Data for creating value curve

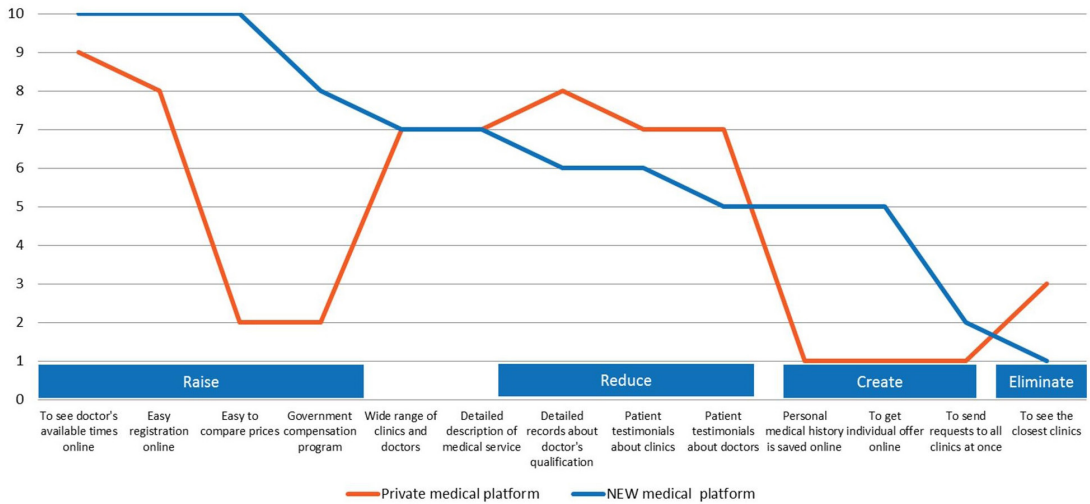
Value criteria	Private clinics (stand alone)	State medical platform	Private medical platform	NEW medical platform
To see doctor's available times online	1	8	9	10
Easy registration online	1	7	8	10
Easy to compare prices	1	4	2	10
Government compensation program	5	10	2	8
Wide range of clinics and doctors	1	3	7	7
Detailed description of medical service	6	2	7	7
Detailed records about doctor's qualification	8	6	8	6
Patient testimonials about clinics	3	5	7	6
Patient testimonials about doctors	3	5	7	5
Personal medical history is saved online	1	1	1	5
To get individual offer online	1	1	1	5
To send requests to all clinics at once	1	1	1	5
To see the closest clinics	1	1	3	1

4. *Draw the chart with your value curve and your competitors' value curves* and then brainstorm how you could find the blue ocean, which would include a value proposition combination that is unique and highly desired by your target customers. The authors of the Blue Ocean Concept suggest making four possible changes in your value curve if it is not yet surpassing your competitors:

- *eliminate* the proposed value which is not perceived as highly important by your target customers, which might help you to save significant costs
- *reduce* the value which is non-essential and you'll save even more costs
- *raise the* value which is most desired and appreciated by your target customers
- *create* new aspects of value by providing something that is important to your target customers, but yet not offered by any of the competitors. When running a startup, this change has the biggest chance to make your offer unique and appealing.

Continuing with our example, we could draw all four value curves and make sure that our strategic decision will allow us to create a unique and innovative value proposition based on what is most important for target customers. But for the sake of illustration, let's take only the main competitor's value curve and compare it to ours (Figure 16).

Figure 16. Comparing value curves to find value innovation



Based on the three highest criterion (most potential customers would like to see the doctor's available times online, compare prices in different clinics, and easily book an appointment in chosen clinic), it was decided to *raise* the value created based on these criteria. Government compensation program was also included in this bundle because it is directly related to medical service prices. It also provides a discount in certain private clinics. Those criteria that were not the highest priority for surveyed customers (detailed records about doctor's qualification and patient testimonials) were *reduced* in new medical platform's value curve or even *eliminated* (to see the closest clinics). In addition, new value was *created* by finding a solution to simply and safely to store the patient's personal information online, so it would be easy and convenient for customers to share their medical history with clinics while sending a request or booking an appointment.

The comparison of value curves shown in Figure 16 illustrates how the new project will be different and more beneficial for target customers. Value is also a good guideline for product or service development because it shows you where to focus your main attention and resources. So if you plan to create a new product or service, draw your value curve first and compare it to your competitors. Can you see how your offer is better than your competitors and any other solutions for the same problem? If you can't see a major difference between your offer (value curve) and your competitors, don't expect the average customer to be able to figure it out either!

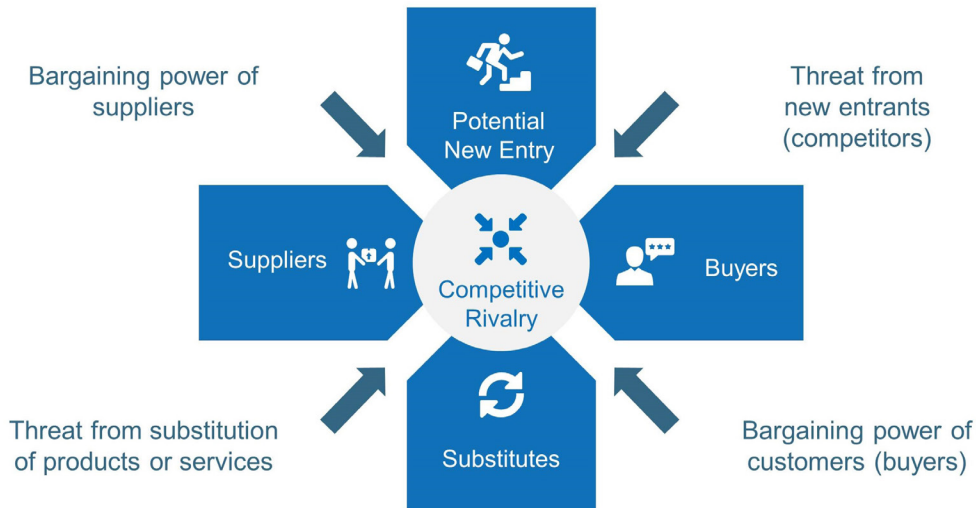
Changes implemented in the value curve on the chart should be transformed into your real value proposition. It is quite possible that you have already developed a unique value proposition from the previous chapter, but if that's not the case, take time to experiment with the value curve and crafting your value innovation.



Use Porter's five forces field to summarize competitive situation

Porter's five forces field assumes that there are five important forces that determine competitive power in a business situation, as shown in the diagram below:

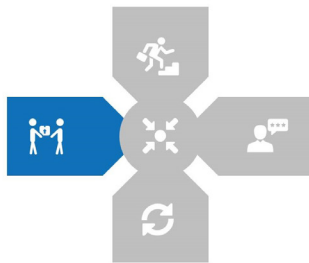
Figure 17. Porter's five forces field



1. *Competitive Rivalry*—this is the number and power of your competitors. If you have many competitors who offer equally attractive products and services, then you'll most likely have little power in the situation, because suppliers and buyers will go elsewhere if they don't get a good deal from you. That's why it is important to find your Blue Ocean Strategy based on value innovation. If no one else can provide what you can and it is important to customers, then you can expect to have strong position in the market.



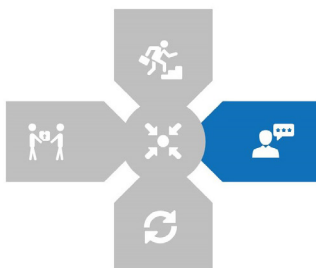
2. *Supplier Power*—this concerns how easy it is for suppliers to drive up prices. The fewer the supplier choices you have and the more you need their help, the more powerful your suppliers are. Defining and securing key resources and suppliers in the early stage might be one of the essential conditions of your startup's success.



Supplier Power

- ✓ Number of suppliers
- ✓ Size of suppliers
- ✓ Uniqueness of resource
- ✓ Input on total costs
- ✓ Ability to substitute
- ✓ Cost of changing

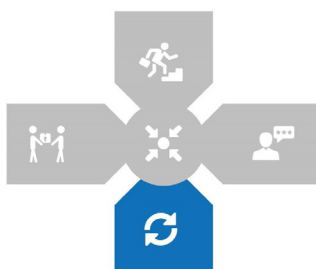
3. *Buyer Power*—this concerns how easy it is for clients to drive prices down. If you deal with just a few, powerful buyers, then they are often able to establish pricing conditions for you.



Buyer Power

- ✓ Number of customer's
- ✓ Average size order
- ✓ Differential advantage
- ✓ Price sensitivity
- ✓ Ability to substitute
- ✓ Cost of changing

4. *Threat of Substitution* this includes the ability of your target customers to find a different way of solving the same problem or getting the same gain as you offer. If substitution is easy and viable, then this will weaken your power and your chances of success in general. As we discussed in the previous chapter, you must



Threat of Substitution

- ✓ Availability of substitutes
- ✓ Substitute quality performance
- ✓ Perceived differentiation
- ✓ Cost of change
- ✓ Customer's value priorities

address serious problems and gains, not just the “nice to have” benefits. Otherwise, you’ll have plenty of substitutes!

5. *Threat of New Entry*—this is the ability of new competitors to enter your market. If you have strong and durable barriers for new competitors to enter your market, then you can preserve a favorable position and take fair advantage of it. But if the cost of entry requires little time and money, doesn’t require any patent-protected technology or know-how, and there is not yet any economy of scale in the market, you are certain to face new competitors in the near future.



There are a number of ways to effectively use Porter’s five forces analysis in early stage startup feasibility study. The main goal is to define how strong your position in the market can be and what obstacles you’ll need to overcome. It is fairly simple to use this analysis method as a checklist to review the reality of the market and to make insights about your future decisions for your startup.

Note: using Porter’s five forces analysis is not a required step at the moment because Chapter 4 addresses competition as one of the key elements in the business environment. But, to be successful, each startup must have a clear vision of the competitive landscape and even more—to understand which players in the market have the most influence. When you start to create your Business Model Canvas in Chapter 5, you’ll have to identify key resources and key activities vital for your business. Therefore, Porter’s five forces field will come in handy.



Recommended reading

1. Michael E. Porter. *Competitive Strategy: Techniques for Analyzing Industries and Competitors*
2. Philip Kotler, Gary Armstrong. *Principles of Marketing*

3. David Goldsmith. *Paid to Think: A Leader's Toolkit for Redefining Your Future*
4. W. Chan Kim, Renée A. Mauborgne. *Blue Ocean Strategy, Expanded Edition: How to Create Uncontested Market Space and Make the Competition Irrelevant*

3. Segmentation and potential market size

WHY IT IS NEEDED

The easiest way to go out of business is to attempt to be all things to all people. It is impossible to be the best choice for everybody. If you try to do this, in the best case you will end up being a mediocre, average provider of average products or services. Instead, you should choose a targeted group of customers to whom you can be the best provider. If this group is large enough and you are able to create a value the customers will pay for, your business will have a strong foundation for success.

Segmentation generally means identifying which consumers will best fit your business. In other words, you will divide the whole market into smaller segments in order to identify the group of target customers you want to attract the most. If you clearly define and choose to serve a particular segment of target customers, you will be able to:

- make more effective marketing decisions
- create more appealing and more effective marketing materials
- choose more effective communication and advertising channels, thus saving money.

Defining target segment is one of core aspects of creating a marketing strategy. If you can't identify the segment you are targeting, all of your other marketing decisions and tactics might not make sense. If you see that the size of the target segment is too small and there is not much money to be earned, you still have time to redefine your business model. For example, you could choose additional or absolutely different target segments, adjust your value proposition, pick other communication and distribution channels, and so on.

HOW TO DO IT



Define the market type you plan to address.

Defined the market type impacts everything. Different market structures require different marketing strategies. Considering the perspective of the economy or classical marketing, there are four main market structures:

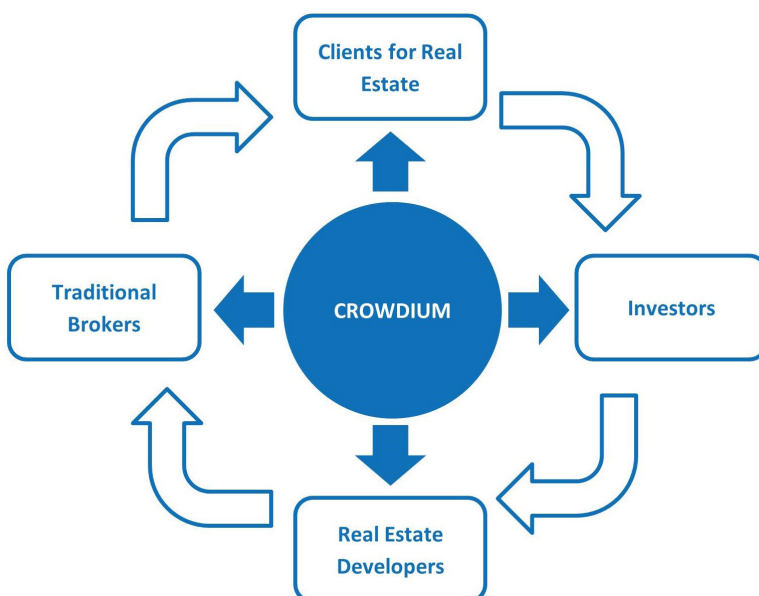
- ✓ *Monopoly* - if you are attempting to enter a monopoly market (where one company is the sole supplier), a guerilla marketing strategy would most likely give you the best chances of success. You should choose a very small segment (niche) that is so small that the main competitor wouldn't bother much about this tiny segment, but yet is large enough for your business to be sustainable.
- ✓ *Oligopoly* - when a market or an industry is dominated by a small number of sellers, a guerrilla marketing strategy (or flank attack strategy) should also work well. The main task in this situation is to find underserved segments and develop for them special your value proposition, which is much better than any competitor can offer. Usually, it is enough to find at least one main feature or benefit that is

not delivered very well with competitors' generic value propositions but would be highly appreciated by particular target segment or niche.

- ✓ *Competitive monopoly* - when companies offer products or services that are similar (but not perfect substitutes), the most important task is to find the differentiating benefit that is important to a significantly large group of target customers and find a way to communicate it. Targeting multiple segments with different value propositions can also be an effective strategy.
- ✓ *Perfect competition* - this market structure is nearly impossible because it requires following five criteria to be met: 1) all companies sell an identical product 2) all companies are price takers - they cannot control the market price of their product 3) each company has a relatively small market share 4) buyers have complete information about the product being sold and the prices charged by each company and 5) the industry is characterized by freedom of entry and exit. But if you are trying to enter a market with perfect competition, there are two general strategies: cost leader strategy (if you have lowest costs in the industry and customers care only about the lowest price) and added value strategy (adding some kind of value to the standard product to make it stand out from others in the market).

The market can be single-sided or multi-sided. A single-sided market means that you are selling something to customers. That's quite standard and the typical business model. In a multi-sided market, the focus is on two or more distinct groups of customers who rely on each's participation in the market. Crowdium is a great example of a successful startup in a multi-sided market (Figure 18).

Figure 18. Multi-sided market addressed by Crowdium platform



Real estate crowdfunding started in 2013 and has been one of the hottest sectors ever since. This market has reached around \$3.5 billion in transactions in 2016 alone (Waleed Esbaitah, 2016). There were more than 250 companies worldwide, but there has never been a real estate crowdfunding company in Latin America until Damian Lopo and Manuel Estruga from Argentina launched *Crowdium* in May 2016. Real estate crowdfunding involves the collective buying of real estate projects, where clients can invest from \$1,500 through safe legal structures managed by the Securities Exchange Commission (Argentina) controlled Trustee. The launch of *Crowdium* benefited the whole value chain as it offered financing alternatives to real estate developers, new clients to traditional brokers, more accessible products within the clients' reach, simplicity, safety, and property management services for those investors who do not have enough time or knowledge to manage their own investments. Successfully addressing the needs of different segments of this multi-sided market helped *Crowdium* to win Redinova 1st Prize as best Argentinean fin-tech startup in 2016. *Crowdium* has also been selected as a top 100 Startups Worldwide in the South Summit contest, competing for best worldwide startup among more than 3,000 companies.

More and more startup businesses are building solutions for this multi-sided, shared economy. It means that you are working in two or even more different markets and must provide a great value proposition to all of them.

Steve Blank and Bob Dorf (2014) noted that not all startups are alike from the point of view of entering new markets. For startups related to innovations and new products, there might be several different situations:

- a new product is brought into an existing market
- a new product is brought into a new market
- a new product is brought into an existing market by offering a low-cost or niche value solution
- a product is brought about by cloning a successful business model to another geographic market.

When a **new product** is brought to an **existing market**, the following aspects should be considered:

1. What are the existing markets that customers might come from? Who are those customers?
2. What unmet needs do those customers have? What value will you offer them to entice them to abandon their current suppliers?
3. Why don't existing companies already offer the value that you plan to offer? What is the risk that your offer will be copied? Do you have any points of differentiation that are meaningful to your target customers?

4. How much time will you need to introduce your new product and educate customers? Do you have a plan for how you will do this most efficiently?
5. How long will it take to reach your break-even point of sales? What are the realistic sales forecasts and what they are based on? Can you test that?

When planning to **create a new market**, be ready for the long haul. You'll have to spend a lot of energy, time, and money on educating your target customers. It's different from introducing a new product to existing market. If you are an early stage startup, it will be a huge and costly challenge to create a new market. It's not realistic to think you can be successful if you don't have answers at least to these key questions:

1. What is so unique and extremely valuable in your offer that customers will use it and pay for it? Why should they buy your products instead of satisfying their needs in the old way? What proof do you have?
2. What markets are related to the new one that you intend to create? Will you have customers coming to you from these markets? How can you use them?
3. How much time will you need to introduce your new product and create a new market by educating customers? Do you have a plan on how to do this efficiently? What viral effect does your business model have built into it?
4. How long will it take to reach your break-even point of sales? What are realistic sales forecasts and what they are based on? What if you don't reach the break-even point in time? How long will you be able to survive with your assets and what do you plan to do when they are depleted?
5. What will stop competitors from taking over your newly created market? Once you educate the target customers and create market demand for your product or service, how you will secure it from being taken over by competitors who might have better finances, networks, and so on?



Identify most important criteria for segmentation.

Not all segmentation criteria are equally important in every situation so don't waste your time on activities that won't help you to develop your startup faster. Decide which criteria you want to define your segments and which of them best fit your business model. You can characterize segments by any combination of these groups of criteria:

- *geographic* criteria include either your location or the location of your target customers, where your product or service will be used
- *demographic* criteria are the statistical characteristics of your target market, such as age, gender, education, household size, socio-demographical group (e.g., student, pensioner, disabled)

- *psychographic* criteria describe target customers by psychological or emotional traits, (e.g., risk-taker versus risk-averse early adopters versus late-stage buyers introverts versus extroverts)
- *behavior-based* criteria focus on the activities of target customer in any environment and situation (e.g., what the customer is doing at work and at home, what hobbies and vacations they choose, and when, how, and for why they use the product).

Segmentation based on demographic and psychographic criteria is sometimes called pre-existing segmentation and it is the most basic way of creating market segments. In pre-existing segmentation, the market is split according to pre-existing demographic or geographic criteria such as age, sex, social economic status, location, and type of living place. Demographic and psychographic criteria combined can describe the life stage that groups have in common: for example, college and career, young families, empty nesters, etc.

Pre-existing segments are easy to define and easy to target with advertising and media in classical marketing. But it doesn't tell much about how these different target customers will perceive the value your startup wants to deliver and how they will respond to your marketing message. The world is changing: today we often see the same product being used by different age groups, e-commerce has made the location of the customer nearly meaningless, and digital products can be instantly delivered to nearly any place in the world with an Internet connection.

It's a bit more difficult to do segmentation based on psychographic and behavior-based criteria. It requires some additional effort to measure the size of segments if they are not directly related to existing statistics. But customer needs and behavior-based segments are typically the most actionable forms of segments because you already know what drives your customers and how they're currently solving their problems. That allows you to create the most appealing value proposition and most effective marketing communication.

Let's look at a couple of examples that show how important it is to define the right segmentation criteria. Share2Style (based in the UK) offers fashion bloggers over 1,000 global fashion brands with hundreds of thousands of products. Bloggers can consequently browse through those products and filter them according to their needs (price, brand, color, keywords, and categories). All of the products in the system are affiliated and have unique affiliated links. Consequently, bloggers can create collages with the products and publish them onto their blogs instantly. As a result, bloggers earn money once their blog visitors purchase any of the items from the collages. However, there are different types of fashion bloggers and that was the main segmentation criterion for *Share2Style*:

- those who recently started out blogging
- mid-tier bloggers (with some experience and getting temporary income)
- bloggers who are major influencers and make millions in blog earnings

The most important thing for *Share2Style* was to admit that their product couldn't target all the groups at the same time. First, they identified all the target groups in terms of their pain points and then looked at the product. Founders of *Share2Style* wanted to build the product with minimal resources that would solve the pain of a particular type of blogger.

Another startup faced serious issues because they missed one important segmentation criterion. *VahanCheck*, a vehicle inspection system for insurance companies and inspection agents, is already used across more than 28 states in India. But results could have been better or achieved faster if they had considered cultural aspects during segmentation. India has more than 50 local languages, but localization of the app was not foreseen during the launch (starting with an English version only). Therefore, end-users of *VahanCheck* faced a training and interface language barrier. Even though initially it wasn't perceived as a serious problem, it actually slowed down the market entry and growth of *VahanCheck*. So, be careful when defining your target customers; the more you know about them, the better your chances of success.



Divide the market into measurable segments that might be interesting for your business.

Once you have chosen segmentation criteria, it's time to identify key segments. To be successful, implementing a segmentation strategy involves alignment of your value proposition to each target segment you choose. But be cautious: the more segments you choose, the more difficult it will be to align your marketing strategy because each segment will require investment if it is to be properly addressed.

Once you divide the market into segments, check if all your segments meet the requirements (Table 12). If at least one of those requirements is not met, it means you haven't correctly performed segmentation and you should revise your plan.

Table 12. Requirements for effective segmentation

Homogeneous	Customers in the same segment should be somehow similar
Heterogeneous	Segments should be different at least by one criterion
Measurable	It is possible to measure the size of segment
Substantial	Segments are large enough be individually substantial
Accessible	It is possible to promote to and reach each of these segments
Practical	You have enough capabilities to market to any segment
Responsive	Each market segment should respond to your targeted marketing efforts better than to a generic communication



Draw a segmentation scheme and create your target customer profile

This is not a required task, but it will make your life easier when you go to talk to potential investors or when you start launching your product into the market. A segmentation scheme shows visually how you came up with your target segment, what criteria you were considering, and what options you have chosen. Having a segmentation scheme makes it easy to explain your decisions and to revise them if needed (for example, if you discover that your target segment is too small, you can look through the segmentation scheme for possible secondary segments).

A target customer profile defines your customer. Some literature suggests creating an avatar or persona of your target customer with as many details as possible. The more details you can define for the target customer profile, the easier it will be for you and your marketing partners (online marketing agency, media agency, PR company and etc.) to create and deliver the most appealing and effective message to your customer. Even putting a photo of a person who best represents your target customer is helpful. If you wish, you can put few smaller photos of different people representing the same target segment.

The details of the target customer profile should include the following:

- Are they male/female?
- How old are they?
- Are they married/single?
- Where do they live?
- What do they do for work?
- What do they do for fun?
- What do they read?
- What do they watch?
- Where do they hang out on the Internet?
- What do they desire most?

Let's take *Mod Garden* from Canada, for example. It is a smart and stylish modular system that allows the growing of vegetables and herbs in the living room all year round. A standard unit is the size of a coffee table and they can be stacked one on top of another to ensure the needed capacity. Each unit has sensors inside that not only takes care of the irrigation but also sends data to a mobile app where the user can track the whole process, from planting seeds to taking harvest. Basically, *Modgarden* is built for the busy urban dweller who maybe even doesn't know how to garden.

Aamar Khwaja, the founder of Modgarden, has defined his early adopters segment and set his go-to-market campaign goal as shown in Table 13.

Table 13. Modgarden segmentation breakdown

Location	124.5 million households in USA	
Food gardening	31% of all US households (estimated at 36 million) did food gardening in 2008 (2015 data is available under paid subscription at National Gardening Association)	
Climate zone	22% of the 36 million households (or 7.92 million) are cold climate gardeners	
Gardening purpose	Vegetable gardeners are 23% of 7.92 or 1.7 million households	Herb gardeners are 12% of 7.92 or 0.95 million households
Target market size	$1.7 + 0.95 = 2.6$ million households	
Campaign goal	2,000 households, which is less than 0.08% of the estimated target market size	

To estimate the market potential, Modgarden found statistics that there are 47 million North American organic eaters, which makes a \$38 billion organic food market size. To make segmentation even more precise and effective, I would suggest additional criteria such as:

- Living in a condo/apartment/townhouse/flat in town or in the suburbs. The assumption is that if you have a house, you'll probably have a garden and this product might not be as interesting, except for during the winter season.
- Healthy lifestyle could be defined by various criteria (for example, practices yoga or meditation, goes to the gym two or three times a week, cares about nutrition, is interested in organic food).
- Household monthly income could help to narrow the early adopters segment by defining which households would be financially capable of making a purchase.

While a customer segmentation scheme is mostly used to clearly and exactly define who your target customer is and to define the size of your chosen segment, creating target customer profile helps you be more creative with your marketing. Once you have your typical customer profile (for Modgarden, it could look like Figure 19), it becomes more personal, and you can better understand what is important for your target customer, where and how you could reach them, what fears and concerns they might have about purchasing your product, and what arguments would be the most effective for your sales pitch and advertising.

Figure 19. Modgarden target customer profile

	Name: Anna		Gender: Female		Age: 30	
	Occupation: accountant, secretary			Education: college degree		
	Work location: business center in city			Living location: condo in suburb		
	Monthly income: \$ 1,500			Family status: married, 2 children		
	Other details: Family monthly income \$ 2,000 – 3,500 Have one or two family cars, but uses public transport as well					
Number of similar customers:		42,500		Potential revenue in segment:		\$ 1,000,000
Description: - cares about healthy lifestyle of the family - goes to the gym at least 2-3 times a week - loves gardening, but has no garden at home - loves cooking on weekends - reads professional and lifestyle magazines, romantic novels						
Motivates				Demotivates		
- natural source of vitamins and minerals - fresh vegetables and herbs for weekend cooking - aesthetics and modern look of furniture - being proud about home-grown				- Doubts about durability and maintenance - New furniture needs additional space - Price		



Choose one to three segments you want to serve most.

Once you have selected a target market from your list of potential market segments, you need to evaluate how attractive that segment is for your business. Evaluate your target segment size, growth potential, profitability, competitive advantage, and accessibility. Below is a table that will help you determine which segments you should target. The table includes five aspects you can use to measure the attractiveness of each segment. While there may be more aspects you can use for evaluation, I’ve included the most important aspects from a marketing perspective. If you rate each segment according to all five aspects on a scale of 1 to 5 (with 1 being the lowest and 5 being the highest), you’ll easily come up with a logically calculated decision about which segment is most attractive. In addition, I recommend checking to see how each of those top-rated segments aligns with your business strategy and model.

Table 14. Target segment evaluation

Segment	Size	Growth potential	Profit margin	Competitive advantage	Accessibility	Total
A						
B						
C						

Try to complete this table as accurately as possible. Based on this table, you'll make one of the most important decisions of your business. Therefore it will require some analysis and you should consider the following questions as you rate each segment

- How large is the segment now? Is it large enough to support your startup business and its growth?
- Will the segment grow or expand in the future? How far into the future can it grow?
- Does it have a natural and organic demand or is it being driven by active sales and marketing activities?
- Can this segment create a viral effect? If you reach this segment, could it initiate demand for your products or services in other segments?
- Can you have high gross margins in the segment?
- Can you apply a predictable pricing model for this segment (for example, subscription or regular, repeat purchases)? Can you somehow lock in the customer or create an exit barrier with a high cost to switch to a competitor?
- How much better is your value proposition than the current alternatives in the market? Do you have a sustainable competitive advantage or it will be easily copied?
- How easy or difficult will it be to reach the segment?
- Does this segment really fit with your business model? Can you immediately meet their needs or will it take a significant change in direction to meet their demand?



Recommended reading

1. Philip Kotler, Gary Armstrong. *Principles of Marketing*
2. Dan Olsen. *The Lean Product Playbook: How to Innovate with Minimum Viable Products and Rapid Customer Feedback*

4. Business model and fatal flaws

WHY IT IS NEEDED

It's great to be passionate about the innovative idea you have. There are many inspiring stories about startups who encountered difficult challenges but persevered because of their passion. No matter what circumstances and obstacles you might encounter, your passion is what will keep you going through the hard times. Unfortunately, while passion great, it's not enough to help you reach your goals. You need to have a plan! But, I'm not talking about a standard business plan with hundreds of pages full of mundane ideas. If your business idea is innovative, the standard approach hardly is the best choice. In this chapter, I'll introduce you to a method of developing a simple business plan that is much faster and cheaper to develop than the standard approach. It allows you to draft your business plan on one page and review, improve, or even abandon the idea if you see no chances of success and profit.

During my global research on startups, I met many startup founders who spent from just a few minutes up to many hours just to outline and review their business idea. It's much more effective and fun to use your passion for implementing your business idea and seeking funding for your goals when you have a clear plan on how to do it!

The Business Model Canvas (2009) was initially proposed by Alexander Osterwalder and Yves Pigneur based on Osterwalder's earlier work on Business Model Ontology (2004). The concept of the Business Model Canvas is simple, easily applicable, and can be very effective during the startup phase when the whole business model is regularly reviewed, updated, and sometimes reworked from scratch. The popularity of the Business Model Canvas speaks for itself:

- more than one million copies were sold by 2014
- it has been translated into 30 languages
- the Business Model Canvas is included in numerous university study programs
- new canvases for specific niches have appeared, such as the Lean Canvas, which is quite often used for a startup business.

You can use the Business Model Canvas as a dynamic business plan. If you are a true startup, you are faced with much uncertainty. What could you do to make your life easier and increase your chance of success? One option is to build your product or service, launch it to the market, and just hope everything will work out. But that's not a very wise approach. Another option is to use the *Lean Startup* methodology, which helps you can clear out uncertainty by raising and checking hypotheses (you will learn

more about this in Chapter 8: Get ready for hypothesis verification). Once you have checked your hypothesis, you can review and update your Business Model Canvas, if necessary. If you can view the updated canvases as a series of snapshots over time (for example, in a PowerPoint presentation), you'll be able to track all the progress of your startup business development. Or, you can use one of many online tools to create and track the progress of your Business Model Canvas (for example, see the tools at <https://canvanizer.com>).

How will you know if your business model is great or not?

- *profitable*—the business must be self-sustainable and generate positive cash flow over time
- *repeatable*—it should be a continuous activity, not just a one-time endeavor
- *scalable*—you should be able to grow your business fast and at large scale
- *predictable*—it's hard to foresee the future unless you create it if you do your homework during the feasibility study while creating your business model, you should see main issues and trends in your industry and can prepare for possible changes
- *valuable*—it should increase your startup valuation, which means that the startup as a company becomes worth more.

HOW TO DO IT





Briefly, answer key questions about your business model

You can start filling out the Business Model Canvas right away, but it's usually more effective to think through the key questions about the business model and then write it down on the canvas. Following are some questions you should consider:

- How do you plan to get customers? What value will you offer to them? Which channels will you use to communicate your offer?
- How will you be better than your competitors currently on the market or new ones that will emerge and try to copy your idea?
- After you land a new customer, what kind of relationship do you plan to have with them? How do you plan to get their feedback? How will you encourage the client's involvement with your business or brand?
- What is your revenue model? What will customers pay you for and how much will they pay you? Can you calculate your forecasted revenues for the month, quarter, and year? Are these calculations based on solid facts or just your assumptions?
- What assets are available to you to run this business? What capabilities do you lack at the moment and how do you plan to make up for the gap?
- Who are your key partners? Do you need to get any additional partners in order to make the business run as well as it should?
- What key activities do you need to do in order to deliver your value proposition to your customers? Will you be able to do all of them? If not, then what kind of resources or partners will you need?
- What fixed costs you will have to bear independently of your sales volume? Which of your variable costs will depend on your production or service provision volume? Can you calculate your total costs for the next month, quarter, and year?
- Does your revenue forecast demonstrate increased profitability towards the end of the forecast period?

Don't worry if you don't have all the answers right away. Just start from something and you'll update your business model over time. Quite often, even established and revenue earning startups change their business model significantly. For instance, *Pony Zero* was launched in 2013 as a bicycle delivery service, but made two major pivots before 2016: they switched from Pony Express to post delivery and then to massive delivery for international shippers. *Pony Zero* started in Italy and reached €20,000 in revenues during 2013. But they understood they were proposing their service to the wrong market (small companies and consumers). At the end of 2014, they had started to deal with international shippers, but their bikes and dispatching model did not fit the shippers' requirements.

Therefore, the founders made just a small test and raised €100,000 in revenues. They developed a convoy box (a large, bike-mounted box for carrying cargo) for their bikes in 2015 and started working with few international shippers at once. At the end of 2015, *Pony Zero* developed another convoy box and software in order to automate the dispatching routing process. That year the company made €523,000 in revenues. *Pony Zero* expanded by acquiring new clients in food delivery (Just Eat) in 2016 and developed new software to fit this kind of market. The year was finished by earning close to €2.5 million and they are estimating €5 million forecasts for 2017. So, don't worry – pivots are inevitable in almost any business.



Create your Business Model Canvas

I recommend using the free online tool canvanizer.com because I find it to be very useful when working virtually with startup founders. One great feature that saves a lot of time and helps with collaboration is that you can share a Business Model Canvas with anyone. You can give them review-only or full editing rights. If you prefer to use a paper format or if all of your team wants to sit around the table and work together, you can download an MS Word template from www.evolutioncurve.com

There are several different approaches for working with the Business Model Canvas as well as a few variations of the canvas itself. For most startups, I recommend the following sequence which starts from the essential part, the value proposition.

1. Value proposition: What will you exclusively offer to your customers? How is this offer unique, interesting, and attractive for the customer?
2. Customer segments: Who is your target customer? To whom is your offer most beneficial and most appealing?
3. Channels: How will you reach your clients? Through what channels will you communicate and deliver your offer to them?
4. Customer relationships: How will you receive feedback from your clients? What relationship will you have with them?
5. Revenue streams: How will you make money? Who will pay you and what will they pay you for?
6. Key resources: What resources are necessary to create and deliver the value proposition to target customers?
7. Key partners: What partners are necessary to make this business model work?
8. Key activities: What activities and tasks will you have to handle to create and deliver your value proposition?
9. Cost structure: What fixed and variable costs will you have to bear?

Ash Maurya presents an updated Business Model Canvas in his book *Running Lean* (2012) and calls it the *Lean Canvas*. Actually, this canvas is better adapted for scalable startups because it replaces key partners, key activities, key resources, and customer relationship with four new aspects: problem, solution, key metrics, and unfair advantage. Though these new aspects better address some of the major risks in a scalable startup, my global research on startups showed that Osterwald's and Pigneur's Business Model Canvas can be as effective as a Lean Canvas for the same type of scalable startups as long as it's implemented in the right way. If you'd like to try sketching a Lean Canvas for your business idea, I'd suggest you do this in the following order:

1. Problem: What is the real problem you are solving for your target customers? Is this problem worth solving?
2. Customer segments
3. Value propositions
4. Solution: How exactly will you solve the problem? How will the solution be delivered? Keep in mind, that in the Lean Canvas, this field can sometimes contain all of the aspects related to key partners, resources, and activities as they are directly related to delivering the solution.
5. Channels
6. Revenue streams
7. Cost structure
8. Key metrics: What is your goal and how it can be measured? Which metrics will show your real progress?
9. Unfair advantage: What's your competitive advantage? How will you secure your business from competitors copying it?

Once you have created your Business Model Canvas, I recommend you take a short break. Have a cup of coffee or tea, go for a walk in the fresh air, or just chill out for few minutes before you proceed to the next task. A break will help you clear out and prepare your mind for a critical review of your business model.



Review your business model and clarify assumptions

Review your business model from the perspective of a potential investor. You are skeptically looking at this business idea and have to decide whether to invest in this opportunity, skip it, or somehow to improve it before you invest. Ask yourself the following questions:

- Will it really work? Do the revenues outweigh the cost? If you want to dig a bit deeper, you can download a business model checklist from www.evolutioncurve.com for additional questions.

- What can be changed to strengthen the business model or reduce its risk?
- How do you know if what is written in each Business Model Canvas block is true? Is it based just on the founders’ assumption or are there documented facts or other solid evidence?
- If you have documented facts, I suggest using green labels on those particular blocks of the Business Model Canvas and making a note of your evidence.
- If you have made assumptions, I suggest using yellow labels on those particular blocks of the Business Model Canvas. This will help you in the future to see unverified parts of your business model and take actions to clarify them.
- List your assumptions about the business model into the table below. Use this table as a task—you have to find facts and solid evidence for each statement that is currently just an assumption. Once you have the facts, update your Business Model Canvas by replacing the yellow label with a green one, which indicates that you have solid evidence. Once it is complete, review your Business Model Canvas once again—maybe something has essentially changed and you might need to adjust your business model.

Table 15. List of assumption and facts

No.	Question	Fact with evidence	Assumption
1.			
2.			
3.			

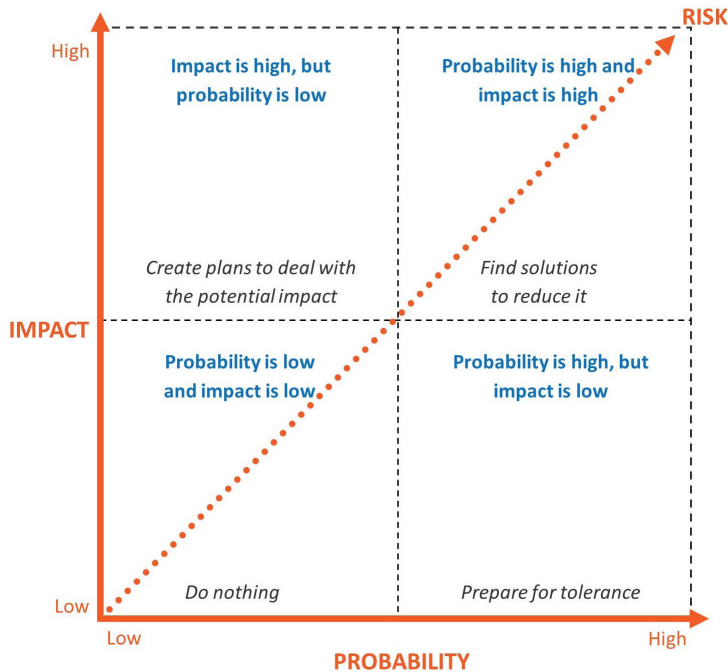


Foresee the possible fatal flaws of your business model and manage risks

Seeing the fatal flaws of a business model was the second most common mistake I found during my research. Not foreseeing risks might suddenly close the door, not only to your potential investors but your business as well. If you want your startup to achieve success, you must foresee possible risk factors and make decisions in advance about how you will deal with them. Can you list the major risks of your business model? What parts of your business model are most risk-sensitive? What could kill your business?

In order to identify risks and figure out how best to deal with them, you can use a simple yet very effective framework for classifying risks. All risks have two dimensions: the likelihood of occurrence and strength of the impact. These two dimensions form four quadrants, which in turn suggest how you should attempt to manage those risks.

Figure 20. Risk management matrix



There are many different risk classification methods, but for most startups, the simpler the better. Analyze each of the following risk groups and brainstorm what risks your startup might face. A simple way to do this is to use post-it notes. Use one note for each risk and place it in the most appropriate quadrant according to the likelihood of the risk and consequences of the risk.

- *Market risks* refer to whether or not there is sufficient demand for what you have to offer at the price you set. Startups usually don't sell common products, therefore there is no easy way to know how the market will react to any new product. One of the most cost- and time-effective ways to clear out this uncertainty is to run experiments to validate or reject the market-related hypothesis. Because market risks are one of major failure or success factors of startups, we'll be talking about hypothesis and experiments in the next stage of *Startup Evolution Curve*.
- *Competitive risks* are related to what others might do to try to take a share of your business. It's naive to believe you don't have competitors. As we discussed in Chapter 2, even if you have an innovative product or service, there might be plenty of alternatives as to how to solve the same problem or achieve a similar gain. Competitive risks include such factors as copying your business model, trying to out-innovate you, out-spending you on marketing, starting price wars, initiating rumors about your product, trying to steal your commercial secrets, and overcoming your patents, to name a few. Just think what might happen in the worst case and be prepared for that.

- *Technology and operational risks* generally cover all aspects of execution. For instance, can your team develop and create the product on a limited budget? Will your suppliers be reliable? Can you optimize manufacturing of the product? Will you have an effective support network and infrastructure? Do you have a backup plan if someone hacks into your servers?
- *Financial risks* can be described as simply running out of money. Many startups fail because they risk their financial success on the help of outside financing. One of the biggest financial risks is not having a Plan B in case you don't succeed in attracting investors as quickly as you want. Running out of cash is one of the most common problems, which can usually be managed by reducing cash burn rate and preparing a plan for bootstrapping. During my research, I found startups who chose to take the control of their financial situation instead of putting all their efforts into additional fundraising.
- *People risks* are hardly predictable, but it is clear that people risks are the most crucial and sometimes least predictable element of a startup. Failure to recruit, motivate, and retain key employees can be just as lethal as running out of funds, having technical issues, or mistaking the market needs. Therefore, most successful startups determine the key activities they must perform and don't hire employees to manage these until the appropriate stage. In the early stages, the founders of the startup will take responsibility for each key activity.
- *Legal and regulatory risks* can include various limitations on your business activity, tax complications due to your choice of legal entity or state of incorporation, industry regulations (for example, in fields like medicine, alcohol, tobacco, insurance, and financial services), and possible disputes arising from gaps or misunderstandings in agreements. If you are an early stage startup and don't have enough money to pay for a consultation with a business attorney, check for fostering programs for entrepreneurs and online mentors. There are a number of ways to get initial legal consulting for free, but it varies in each country.
- *Systemic risks* threaten the viability of entire markets, not just your startup or any other company in the market (for example, an economic downturn or breakthrough technology that renders your ideas obsolete).

Once you think you have thought of all the major risks, explain your business idea to your most pessimistic friends and ask them to find more problems. Although it might be unpleasant to hear criticism, let it be a learning experience. Listen and note if there are any possible reasons for failure you haven't foreseen. Put them in your plan and address them accordingly.

Creating a list of risks is not enough. You must also develop a plan to manage those risks. Don't become obsessed with it, but identifying the risks you might face and how

you will deal with them could save your startup from failure. Complete the Table 16 to provide you, your partners, and your investors a comprehensive understanding of the potential risks and how your startup is prepared to meet them.

Table 16. Summary of risk management solutions

Risk factor	Type	Likelihood	Consequences	Tactics	Costs

1. *Risk factor* - list any potential risks.
2. *Type* - assign the risk to one of the categories described above (market, competitive, technology and operational, financial, people, legal and regulatory risks, systemic). This might suggest who would be best qualified to manage that particular risk (for example, the CMO might be responsible for dealing with market and competitor risks).
3. *Likelihood* - think of the relative likelihood of manifesting this particular risk factor. Simply state if you have a high, medium, or low possibility of facing this risk factor in reality.
4. *Consequences* - describe what would happen to your startup if this risk factor becomes reality.
5. *Tactics* - list the things you can do to either reduce the likelihood or minimize the impact of the consequences if this risk factor manifests itself. Even if there is a tactic available, it doesn't mean you should employ it. Think about the most appropriate, cost- and risk-effective solution.
6. *Costs* - think about the implementation costs of each risk management tactic.



Recommended reading

1. Alexander Osterwalder, Pigneur Yves. *Business Model Generation: A handbook for Visionaries, Game Changers, and Challengers*
2. Peter Thiel, Blake Masters. *Zero to One: Notes on Startups, or How to Build the Future*
3. Patrick Van Der Pijl, Justin Lokitz, Lisa Kay Solomon. *Design a Better Business: New Tools, Skills, and Mindset for Strategy and Innovation*

5. Business environment and breakthrough innovations

WHY DO YOU NEED THIS

You need to evaluate your business environment in the feasibility stage because you are not launching your business in a vacuum. Independently of what you want and imagine, your business will be influenced by various factors. Most of those factors you won't be able to control you will only be able to react and adjust your startup development accordingly. So, if you like surprises, especially bad ones, you can skip this chapter. Otherwise, spend some time to get acquainted with the environment into which you will launch your business. This will help you avoid most of the bad surprises and reduce the risk in advance!

HOW TO DO IT





Create a brief plan of your market research

List out the information about the market that would be useful to have, what decisions you need to make as to how you will use it, and how you expect to get it. Take a look at your Business Model Canvas. What assumptions have you made? What information do you need to find to replace your initial assumptions with solid facts?

Depending on your data sources, you can do both secondary and primary research. Secondary research, or desk research, is based on data that already exists in one or another form. In most cases, secondary research is faster and cheaper but does not always provide you with the exact information you need. In any case, it's wise to start your research from reviewing the information about the market that is already available. Sometimes this information is even free. Following is a partial list of free, secondary research sources:

- trade associations and their reports
- national and local press, industry magazines
- professional institutes and organizations
- national and international government reports
- national and international statistics databases provided by governments and agencies
- trade and company directories
- published company accounts, announcements, and press releases
- *websites* (competitors, suppliers, news portals, etc.)
- *business and scientific libraries* (these are especially useful for conducting research in the context of innovation)
- reports of omnibus surveys

Primary research is based on data collected for the first time. It is original and is collected for your specific purpose. Usually, it is more expensive and time-consuming, but it can provide details and insights that you can't get through secondary research sources. Following is a partial list of methods for primary research:

- *Telephone interviews* tend to be very structured but often lack depth. Telephone interviews are convenient for collecting data from a geographically dispersed sample and are cheaper to conduct than face-to-face interviews.
- *A mail survey* is an older type of research that is still used by some companies. I don't recommend conducting a startup feasibility study by mail survey.
- *An Internet survey* is probably one the fastest and cheapest ways to get direct feedback from your target group. There are many free online tools to do that.

I used Google forms for my global research on startups. Although it had some issues (for example, Google was blocked in China, the survey form didn't have a responsive design, and it was hard to read on mobile devices), this tool cost nothing and helped to collect a huge amount of responses. You can find a more sophisticated solution with a nice design and mobile-friendly approach, but most of them are fee-based or have limited free plans. If you need to run a short survey with up to 100 responses, you can find plenty of free online tools like Survey Monkey, Typeforms, Zoho Surveys, Survey Planet.

- *An Omnibus study* is a large-scale interview (usually of at least 500 or 1000 respondents) where a company can purchase either a single or several questions in the interview. The company will be one of many that simply wants a straightforward answer to a simple question. This type of research is much cheaper and less time-consuming than conducting your own large-scale interview.
- *Mystery shoppers* act like customers and make real purchases. They collect data on customer service and the customer experience. This type of research could be used not only to check up your competitors, but also to evaluate your own team's performance (the main point here is to keep this research in secret—if you tell your sales team that you are running a mystery shopper research, their behavior might not be fully natural).
- *Focus groups* are made up of a number of selected respondents based together in the same room. Experienced researchers moderate the discussion in focus group and gather in-depth qualitative feedback.
- *Product tests* can be of different types and purposes, but probably the most important are product usability tests. It's a wise decision to have some beta users of your product before planning a market launch. Give the product to customers and ask them to use it and then collect feedback from them.
- *Experiments* are the main form of primary research for most successful startups. Instead of wasting a huge amount of money on creating a product that nobody wants, you can run a series of experiments that show your value proposition, advertising, landing page, product prototype, improved product modifications, and other aspects of your business. We'll talk much more about experiments in Stage 2: Prototyping.
- *Observations* are somewhat different than experiments. With observations, you just observe people using your product without interacting with them or influencing any of their decisions. This research method is very useful for startups who are trying to identify their customers' problems, jobs, and desired gains. By observing your target customers, you will come to understand their situation better and will be able to create better products and services for them. Observation can be used for other purposes as well (for example, to measure the traffic of potential clients, to find out how competitors serve clients, etc.).

- *Diaries* are used by a number of specially recruited consumers who are asked to complete a diary and track their purchasing behavior or use of a product for a period of time. This form of research is quite rare because it demands a substantial commitment on the part of the respondents and accuracy is not fully ensured.

Use the Table 17 to create a brief plan of your market research. This will save you time by helping you to avoid procrastinating and spending too much time on details that are not essential.

Table 17. Briefing for market research

What information is needed?	What decisions will it be used for?	Where and how can we get it?



Evaluate business environment factors that you can’t control or influence

In this step, you will identify the most important factors of the marketing macro environment and their possible influence on your business. According to PEST analysis, macro environmental factors include *political, economic, social* and *technological* forces. The extended approach to macro environment factors is called PESTEL analysis, which adds *environmental* and *legal* forces. You can’t control these forces, you can only prepare for changes. Look through each group of macro environmental factors in Table 18 and draw some conclusions about what influence they might have on your startup.

BizON started in Canada 2014 and is now approaching 4,000 active members; connecting close to 500 buyers with sellers in Canada, USA and Australia; and is on track to redefine how people buy, sell, and grow businesses or franchises in the digital world. A properly done analysis was one of the key factors of their successful start. Nunzio Presta, the founder of BizON, identified the problem as 10.5 million baby boomers are planning to retire and sell their business in North America over the next decade, and most do not have a succession plan. This inspired him to look deeper into the issue in order to ensure BizON can service this market. They quickly uncovered that most brokers were uninterested in helping small businesses sell (typically with asking prices of \$330,000 and under). Brokers would rather help multi-million dollar businesses sell since the commissions are higher. BizON also discovered that most small businesses would simply resort to shutting down instead of recovering some money for retirement and allowing their legacy to be carried on. Nunzio Presta decided to address both of

Table 18. Factors of PESTEL analysis

Political	Economic
• regulatory bodies and processes • government term and change • government policies • international legislation • ecological and environmental regulation • future legislation • current legislation in the target market • funding, grants, and initiatives • target market lobbying groups • international pressure groups • wars and conflicts	• target market economy situation and trends • secondary market economies and trends • general taxation issues • taxation specific to product and services • seasonality and weather issues • market and trade cycles • any specific industry factors • market routes and distribution trends • customer drivers and motivators • interest and exchange rates • international trade issues
Social	Technological
• lifestyle, fashion and role models • demographics • customer attitudes and opinions • brand, company, technology image • customer buying patterns • major events and influences • ethnic and religious factors • advertising and publicity • ethical issues	• research funding • competing for technology development • associated and dependent technologies • technology maturity and replacement • manufacturing maturity and capacity • information and communications • consumer buying technologies • innovation potential • breakthrough innovations
Environmental	Legal
• solving environmental problems • requirements regarding pollution • carbon footprint targets • the scarcity of raw materials • corporate social responsibility • poverty reduction • global sustainability	• technology access, licensing, patents • technology related legislation • intellectual property issues • advertising standards and regulation • law changes affecting social factors • product labeling and product safety • health and safety at work regulation

these concerns and that opened the door to additional findings. For example, the interest in helping baby boomers sell their business allowed BizON to uncover other opportunities, such as understanding that millennials see value in buying establish businesses - something that provides them with a blueprint to success. Therefore, BizON was able

to accurately target segments that would be interested in entrepreneurship through acquisitions (that is, buying an existing independent business) and individuals who would want to become franchisees.

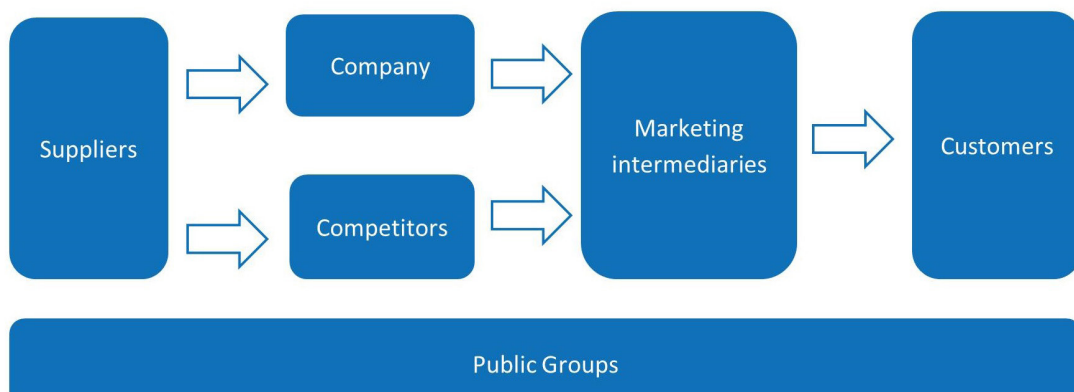


Evaluate the business microenvironment factors

Microenvironment factors are closely related to a business and have a direct impact on business operations and success. These factors include the company and its current employees, suppliers, marketing intermediaries, competitors, customers and public groups. These forces can sometimes be controlled or influenced.

- *Company.* Although classical marketing suggests that analyzing the company itself is one of the microenvironment factors, there are two main takeaways for startups. First of all, don't be in a hurry to officially establish the company and increase your cash burn rate with unnecessary extra costs. You should officially establish the company only when it is absolutely necessary to allow further development of your startup. When establishing your company, be sure to check which type of company and which country of registration would be most beneficial for you. The second point here is that in startups, everybody must work in integrity with the marketing plan. After all, the core of a startup is to create a solution for a customer's particular problem and monetize it. Trying to do that without marketing, is like taking a shot in the dark and trying to hit a small target.

Figure 21. Factors of business microenvironment



- *Employees.* Employing staff with relevant skills and experience is essential. This process begins at the recruitment stage and continues via ongoing training and promotion opportunities throughout an employee's employment. Training and development are critically important to achieving a competitive edge. If a company employs staff without motivation, skills, or experience,

it will affect both customer service and sales in a negative manner. What's even more important for startups is that you have to decide what functions should be handled by the founders themselves, what can be delegated to employees, and what should be outsourced. If the startup faces hard times (for example, low cash) employees might simply leave their job and suppliers might stop providing services until you pay your debt, but the founders will be the warriors who will fight until the end, even if they don't get payment for their work right away.

- *Marketing intermediaries* include the network of distributors of your product, your advertising channels, mass media, influencers, and any organization or person who might help you to bring your product or service to your target customers. Startups shouldn't believe in the false hope that once they get on media, all their problems will be solved and customers will stand in a line to buy their product. Startups need to manage and work with media as well as with other marketing intermediaries. During this analysis, you should identify your key intermediaries and think about how you will get their support.
- *Suppliers*. Suppliers provide businesses with the materials they need to carry out their business activities. A supplier's behavior will directly impact the business it supplies. Do you need any special materials or services? Who has the most power to influence the price of materials and services you need? Quite often, close supplier relationships are an effective way to remain competitive and secure quality products. Will you be able to do that with the current suppliers in the market? Maybe you'll want to secure some level of exclusivity via suppliers so that none of the current or new competitors will be able to provide the same product or service as you do?
- *Competitors*. Can you offer better gains and benefits than those offered by your competitors or than those available from other alternatives in the market? We have talked about the importance of having a unique value proposition from the very beginning and you should already have clear answers about this. If you are unaware of your competitor's activities and efforts, it will be very difficult to win market share against them.
- *Shareholders*. Because startups require investment to scale up their operations, they usually decide to raise money by attracting outside investors (we'll talk more about that in Stage 3: Fundraising). Bringing in new shareholders brings new pressure because shareholders want a return on the money they have invested in the startup. The main goal here is to decide what kind of outside investors you'll need and when to bring them in.
- *Customers*. How many potential customers there are to be served? What is their concentration? Who are they and how easily they could be reached?

Are they locked in with a competitor with some sort of monthly or annual contract? Do they prefer to buy online or only from salespeople? Which of their needs are under satisfied in the current market? What are they generally willing to pay for other similar services or products? How is the market growing?

- *Public groups* are any groups of people that may have a real or potential interest or impact on your startup. These groups may help or hinder your ability to achieve your objectives, whatever they may be. Public groups include:
 - ✓ *Financial publics* typically include banks, investment houses, and stockholders. How these groups perceive you will directly affect your ability to get loans, favorable payment terms, and even whether or not other people choose to do business with you.
 - ✓ *Media public groups* can be extremely valuable or a real nuisance. Media public groups usually include news, press release distribution, and features and editorial opinions in newspapers, blogs, magazines (print and digital), radio (broadcast and the Internet) and television (broadcast and digital channels like Youtube).
 - ✓ *Government public groups* involve keeping an eye on the current state of laws and regulations that affect your business (for example, regulation of manufacturing or the methods you can use to sell your products and services). You might need to consult with government officials, their lawyers, and sometimes even lobbyists.
 - ✓ *Local and action public groups* in classical marketing include neighborhood residents and community organizations. But startups should think broader than classical marketing guidelines. Thanks to the Internet, you can reach various groups around the world (for example, single moms in the USA, disabled person organizations in the EU, or starting entrepreneurs in India). Think about what socio-demographic groups your startup might concern. Maybe they are not your clients, but you can be engaged under some circumstances.
 - ✓ *General public groups* influence the perception of your business, especially your startup brand, products, or services. They might even affect the buying habits of your target consumers. The good news is that until you are an early stage and unknown startup, it's not vital for you to care about general public groups.

It's not realistic for a startup to pay attention to all of these public groups at the same time. Therefore, you have to decide where to spend your time and resources. It's

most likely that, sooner or later, you'll have to deal with all of these public groups in some capacity. So it's better to identify the most important groups and take the initiative to interact with them once you know who your target customers are and you have a value proposition to share with them.



Calculate the size of your potential market and estimate its growth

You should have already evaluated the size and growth potential of your target segment (we've talked about that in Segmentation and potential market size). Now it's time to check the product or service life cycle stage in your chosen target market. Classical marketing theory defines four lifecycle stages for product or service, but startups should also include the development stage if you are creating an absolutely new product or some kind of innovation.

1. *Development stage*—the product is being created and tested and it's not yet available on the market, but there is a solid proof that product will solve a serious problem or deliver extreme gain for customers.
2. *Introduction stage* - the size of the market for the product is small and sales are low, but there is proof that they will be increasing (that is, the product-market fit is confirmed).
3. *Growth stage* - characterized by a strong growth in sales and profits. The company can start to benefit from economies of scale in production and the profit margin, as well as the overall amount of profit, increases.
4. *Maturity stage* —the product is established and the aim for the company is to maintain the market share they already have. This is a very competitive time for most products, therefore businesses need to invest wisely in any marketing activity they undertake.
5. *Decline stage*—the market for a product starts to shrink. It could be due to the market becoming saturated (for example, all the customers who will buy the product have already purchased it), or because the consumers are switching to a different type of product (another innovation emerged into the market) or perhaps the problem itself has disappeared.

Try to identify the lifecycle stage of your product category at this point in time. Try to look not only at your product but the general situation in the market. If you can't find proof that the market is growing, it might be a serious indicator that you should revise your business idea or the target market. Otherwise, you might be targeting a mature or even a declining market.



Estimate the factor of breakthrough innovation and how it may influence your business model

Usually, innovation related questions should be analyzed in a marketing macro environment as one of the technology factors. But breakthrough innovations are very important for startups, therefore I recommend paying attention to it separately.

By definition, breakthrough innovation involves pushing the boundaries of science and technology, with all the uncertainty and risk. Such innovations can change the fundamental conditions of competition and maybe even make it absolutely irrelevant for a period of time until new competitors emerge into the market to deliver their value proposition based on the same breakthrough innovation. It's difficult to analyze the market potential of breakthrough innovations and evaluate whether there is a real market pull for a new solution or not. You can quite easily check whether target customers are willing to use an innovative solution to the problem, but it's highly complicated to find out whether any of your competitors are working on innovations which might change the rules in the market. But, in any case, that should not stop you from the initial research based on two main aspects:

1. If you are planning to bring a breakthrough innovation to the market, how it will shape the market? How will you secure your innovation and business model? What will you do when competitors try to copy or imitate your innovation?
2. If your startup is not based on a breakthrough innovation, what are the chances that somebody else will introduce the breakthrough innovation in your market? How would this influence your business? Is it possible to predict how much time you have until such breakthrough innovation will take place in the market? Would this be enough time for you to create your business and earn desired profits?

UNLOQ Systems was founded in the UK in 2015 with an initial focus to provide better authentication through a distributed authentication system. The main focus was to offer organizations the possibility of increasing their cyber-security by eliminating passwords (the weakest link), through some sort of breakthrough innovation. The demand for a strong authentication solution was increasing, so the founders of *UNLOQ Systems* decided to go ahead with product development after their initial analysis was complete.

The following trends contributed to their decision and are expected to massively affect the development of the phone-based multifactor authentication market in the years to come:

- Massive adoption of smartphones
- Fingerprint technology embedded into all major smartphones
- The increase in the number and complexity of hosted, cloud applications or enterprise applications that are available from outside the organization
- The increase in the sensitivity of the data hosted in cloud applications or enterprise applications that are available from outside the organization
- Rapidly growing identity theft
- Bring your own device trends (BYOD) in workplaces
- Wars on crime and terror
- The increasing importance of user convenience

UNLOQ Systems found that the personal encryption key market is in its very early stages but is expected to increase, mostly driven by the same factors as the multifactor authentication market. Classical solutions would help to some extent, but without full encryption of data at rest, they still remain vulnerable. The multifactor authentication market size worldwide is expected to be \$9.6 billion by 2020, of which *UNLOQ Systems* aims to capture \$100 million.



Check if your value proposition still remains the best option for your target market

Now it's time to summarize all the findings from the analysis of your business environment. You don't have to prepare a multiple page business environment report, but it's very helpful to see all your findings summarized in one page. There is not much value in having a pile of facts and data if you can't see what's in it for you. Therefore, I always encourage startup founders to ask the question, "So what?" once they have finished their research. Now, it's time for you to make your own insights from your facts!

Fill in the Business Environment Insight Card below (Table 19). It summarizes all your main findings from the micro and macro environment and will help you gain some insights about the decisions you need to make for implementation of your plan.

Once you have completed the Business Environment Insight Card, it's time to check and update, if necessary, your value proposition and the whole Business Model Canvas (or Lean Canvas if you prefer it). Initially, your business model might have been based on some assumptions that you should have validated during the business environment analysis. Review your Business Model Canvas and replace assumption-based statements with facts. If you see that there are some doubts about business viability, market size, or any other factor, take some time to revise your business model.

Table 19. Business Environment Insight Card

MACRO environment		MICRO environment	
Technological	Is there a chance of any breakthrough innovation in the industry? How will it shape the market? What has to be done to avoid negative consequences and to use these technological changes to boost your business?	What are your target segments? What are the most efficient ways to reach them? What are customer needs and motives to buy from you? Are there any important behavior patterns?	Clients
Economic	What is your target market size? What economic factors influence the purchasing power of target customers and what are the tendencies of these factors? Which stage of economic development cycle is your market currently in?	What is the current state of your startup? Is it an established company or not? How many employees do you have now and how many will you need in the future? How do you plan to control your cash burn rate? How will you ensure that everyone in the company works efficiently?	Company
Social	Which are the most important social environment factors that drive the demand for your product or service? Is it related to fashion, lifestyle, religion, ethics? Who are the key influencers for your target groups? How are demographics changing?	How many direct and indirect competitors do you have? What do they offer to your target customers and how will your offer be better? How are your competitors doing financially? What are their revenues and profits? What marketing strategies and tools are they using effectively?	Competitors
Political	What are the most important and specific regulations in your industry? Are there any opportunities to get support (grants, subsidies, tax exemptions, etc.) from government or international organizations? Is the political environment stable and predictable?	Do any specific suppliers need to be secured? Do you have key suppliers already or at least know how to secure contracts with them? Will it provide you a competitive advantage?	Suppliers
Legal	Are there any issues or tasks to be done related to any licenses, patents, technology, or intellectual property access? Are there legal requirements for your products and services?	Are there any public organizations that could have a meaningful impact on your business (either support or interfere)? Consider financial organizations, media, government and public organizations, and local and general public groups.	Publics
Environmental	Is your business involved in any environmental issues, either causing problems or solving them? Do any of the environmental factors and trends have an influence on your business?	What key marketing intermediaries (for example, distributors, advertising channels, mass media, influencers, etc.) do you need to succeed in the business? Have you secured partnerships with them?	Intermediaries

CONCLUSIONS and DECISIONS	
Conclusions and Insights: Summarize all your research just in up to 3-5 sentences including key insights: 1. ... 2. ... 3. ... 4. ... 5. ...	Decisions and Actions: List your decisions and tasks to be done to take advantage of conclusions and insights you've just made: 1. ... 2. ... 3. ... 4. ... 5. ...



Recommended reading

1. Philip Kotler, Gary Armstrong. *Principles of Marketing*
2. David Goldsmith. *Paid to Think: A Leader's Toolkit for Redefining Your Future*
3. W. Chan Kim, Renée A. Mauborgne. *Blue Ocean Strategy, Expanded Edition: How to Create Uncontested Market Space and Make the Competition Irrelevant*

6. Customer Journey Map

WHY IT IS NEEDED

It's well-known that profitable products can hardly do without services. Whether it's an extended warranty, convenient delivery, or something totally outstanding (like renting a product instead of buying, giving a product for complimentary use, and earning revenue from delivered services), products are bound to services. Furthermore, customer support is a service even if the customer doesn't pay directly for that. So, now you have to think about service design. Service design is a form of conceptual design that involves the activity of planning and organizing people, infrastructure, communication, and material components of a service in order to improve its quality and the interaction between the service provider and its customers.

In 2016, my global research on startups showed that 71.9% of startups have already applied or were working on the methodology of service design to create better customer experience and deliver higher value. Most of the startups who did so received significant benefits which, in some cases, became one of core elements of their success. Generally, these benefits can be created in two ways:

1. finding ways to serve the customer better in order to improve the core value proposition through increased customer retention, loyalty, repeat purchases, and referrals

2. seeing the whole process on a table allowed startup founders to gain insights into how to increase sales: attract new potential clients, propose additional offers (implement up-sell strategy), increase conversion rates, and increase customer lifetime value.

Service design may function as a way to inform changes to an existing service or create a new service entirely, including services complimentary to products. The purpose of service design methodologies is to achieve better results according to both the needs of customers and the goals of the company. If a successful method of service design is employed, the service will be useful, usable, desirable, efficient, and effective, while providing a competitive advantage for the company. It is a customer-centered approach that focuses on experience and the quality of services as the key value for success.

If you want to stay competitive, you must offer your customer a comprehensive solution that includes additional services (for example, delivery, delayed payment, warranty, regular maintenance, consulting, and training). Therefore, it is wise to model all possible processes and interactions on paper first and make decisions in advance before any negative situations emerge. Service design is a systematic and iterative process with long learning curves. In this regard, it's quite similar to the concept of the startup learning curve: startups should never stop learning and improving their customer experience.

HOW TO DO IT?





List all the activities your customer has to do to get and use your value proposition

List all those activities in the sequence that best represents the customer journey from when they first acknowledge the problem and start looking for a solution until acquiring your value proposition and sharing their experience. You can do this initially by simply writing down a list of customer actions, or write each action on a separate post-it note and then arrange them according to the sequence of the whole process.



List all the activities you need to do to get the customer and deliver your value proposition

It would best if you could take a different colored post-it note and write down your actions on them. Think what you need to do in order to:

- acquire the customer
- create and deliver your value proposition
- get feedback from the customer and keep a relationship
- encourage repeat purchases
- initiate word-of-mouth advertising or referrals

Align those activities according to if they are visible or invisible for the customer. Examples of visible activities include greeting a client, sending a confirmation email, SMS reminders, and delivering a package. Visible activities will directly influence the customer's overall experience. But there are always activities that are important for your business, but the customer will never see. Examples of invisible activities include storing customer contracts and order details, adopting marketing automation tools, and keeping track of time spent on each order. Startups frequently enter the market with only the minimal viable product (MVP) to test how it will be accepted by target customers. In order not to waste money, many activities at this stage are done manually instead of by automated solutions (which will be developed later, if the hypothesis is verified). Customers usually don't see and don't care about the invisible activities or how they are accomplished, but such tasks should be done anyway. It is, therefore, very common for early stage startups to have many activities that are invisible to the customer.



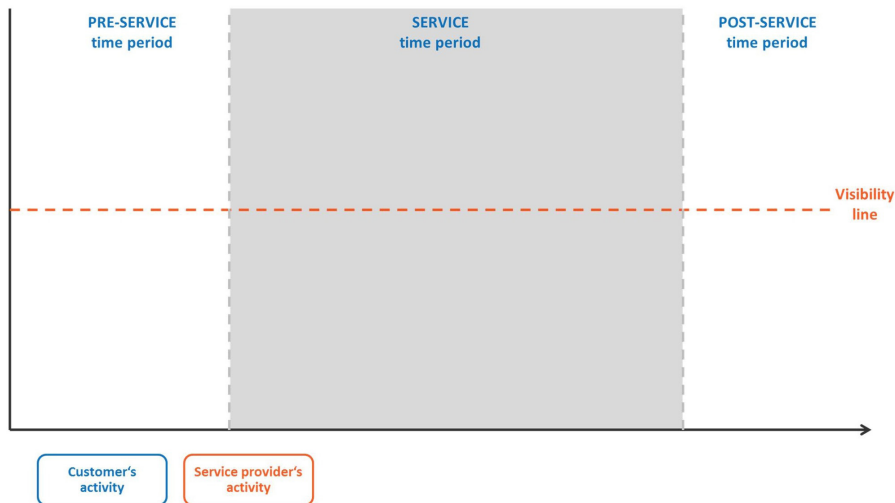
Draw the customers' journey map

Service design scheme is another name for the customers' journey map. You can call it either, but the essence remains the same. It is a visual representation of how a customer or user experiences a service over time. The customer journey map can be used not only for designing a service but also to check up on the overall customer experience.

The customer journey map shows time along an X-axis (as shown in the template in Figure 22), including three periods:

1. Pre-service time period (when the service is not yet being provided)
2. A service time period
3. Post-service time period (once the service is provided to a customer).

Figure 22. Customers' journey map template



The Y-axis indicates the different activities and interactions (or touch points) at particular times. The most important element is the visibility line which is drawn in parallel to the X-axis. This line indicates what activities and interactions are seen by the customer and which are not. Probably the easiest and most convenient way to create your customer journey map takes just three steps:

1. Write up post-it notes with customer activities and put them in a time sequence.
2. Place the visible and invisible activities for both you and your partners (be careful about which side of visibility line you place them)
3. Draw the connections and add missing touch points for the what if... scenarios. For example, what if the customer downloads your app but doesn't use it for a week or more? What if a customer leaves your website without purchasing your product or service? What if the customer cancels his order in the checkout page? What if a customer is unsatisfied with the product?

The final result of your efforts should look like a logical sequence of actions showing all of the ways you acquire a new customer, how you serve them, and what actions are taken after the service is provided or the product delivered.



Identify most risky and weakest areas

Usually, customer journey maps are created as early as possible in a project and are used to check a variety of scenarios in order to improve the overall customer experience, exploit additional business possibilities (up-sell, cross-sell strategies), and avoid any failures during the process. Once you have created your customer journey map, look at it from different points of view:

- Does it represent the typical behavior of your target customer? Would it be the same or should it be modified for other target segments?
- Have you taken into account the experiences and feedback from your current customers or beta users? Is there anything to be improved?
- Does this journey map represent the first-time experience? Is there anything unclear for the first time user? Should you improve something?
- Does this represent the repeated use of your product or service? Is there anything that might get annoying to the customer?
- Is the process easy and smooth if everything goes right? Are there any activities wasting time, energy, or money on the part of you or the customer?
- What might go wrong and how you will solve it?
- When could the customer be lost? How could it be avoided?

Canadian startup BizON allows people to buy, sell, and grow a business or franchise. They target users that fall under different segments, for example, business buyers and sellers, baby boomers and millennials, etc. Because the main activity takes place on the website, the visitor's experience is vitally important. So, BizON analyzed not just a paper customer journey map, but an already working website where different customer segments had different experiences. After proper analysis, BizON version 2.0 was launched in order to provide members with a more engaging and positive experience. After evaluating user needs and the actions they needed to take on the website, the new version simplified the search function and improved the ability of users to discover business and franchise opportunities they might be interested in. That helped to achieve an annual user growth rate of 192% and a connection growth rate of 713%.



What extra should we do to achieve better results?

Okay, it's time for a coffee break, going for a walk in the fresh air, or taking any other kind of refreshment break. Just take some kind of break to clear your mind before you

go back and review your customer journey map. With a fresh mind, ask yourself these questions:

- How can we get more new customers?
- How can we create loyal customers and encourage their repeated purchase?
- What and how can we up-sell? What additional products or services could we offer at the moment when a customer decides to buy from you?
- What could we do to increase the chance of initiating word-of-mouth referrals about our products and services?

Let me share with you the story of *InnMind*, a platform that connects startup founders with investors, corporate customers, mentors, and experts on the international startup scene. It was launched at the end of February 2016 and, after six months, it already had around 1,000 active users. But the beginning of this project was sabotaged by major mistakes related to the customer journey map and overall user experience.

InnMind was a very ambitious digital project. The founders had absolutely no knowledge of coding and IT nuances, but they were convinced that the best possible way to execute the plan would be to hire the external team and outsource the development tasks to experienced professionals. Instead of making a simple MVP on one of the free or low-cost websites, the developers made a decision to create a high-quality back-end, able to handle all the features *InnMind* founders wanted to implement from the very beginning as well as in the future. The main argument was that it just wouldn't work otherwise. The founders paid for developers for several months without having even a demo, and then, after the launch, they realized that the demo was nothing close to what they imagined it to be. *InnMind* lost six months and tens of thousands of euros for nothing.

This could have been avoided if *InnMind* would have created and tested their MVP first and only then invested funds in developing a real platform. The issue is that if you want to create and test your MVP, you must understand your customers quite well and to know exactly what you are offering to them. That's where the customer journey map come into play. Nelli Orlova, co-founder of *InnMind*, shared their painful lesson: regardless of the size, experience, or competence of the IT outsourcing company, they never have enough knowledge and skills in user experience, and they never know your customers better than you. This means that you need to do your homework researching your target customers and to have the UX (user experience) expert at your side while developing a web-based project.



Recommended reading

- Marc Stickdorn, Jakob Schneider. *This is Service Design Thinking: Basics, Tools, Cases*
- Ben Reason, Lavrans Løvlie, Melvin Brand Flu. *Service Design for Business: A Practical Guide to Optimizing the Customer Experience*
- Marc Stickdorn, Markus Edgar Hormess, Adam Lawrence, Jakob Schneider. *This Is Service Design Doing: Applying Service Design and Design Thinking in the Real World*

7. Financial assessments

WHY IT IS NEEDED

By now, you should have already developed your startup business model and have an idea what you will sell and to whom. After evaluating the business environment, you should have found a market where your product is actually capable of generating some sort of value. The next step is to understand your startup's expenses. A standard business model would at this in a straightforward manner: when and what amount of profit will this business model be capable of generating? Startups, especially based on innovative products and services, are a bit different. They have to figure out how to spend money wisely to match customer growth and, finally, earn a profit.

You have to calculate your cash burn rate (how much money you lose each month) and how much time you have until your funds get totally depleted and your venture will be closed. Cash burn rate defines the time frame until you have to reach a break-even point and start earning a profit. Startups have much work to do before they achieve positive cash flow. Obviously, the types and amounts of expenses vary from startup to startup, but what matters here is how they align with what you are trying to do and whether it is realistic.

If you find out that there is not enough time to achieve any particular results, it's better to not even start yet or reduce your costs dramatically. Revise your business model and find ways to ensure reasonable time to achieve success in product development, customer validation, and creating some traction. If you have those achieved, it's possible to attract investments and use the funds wisely for your business growth.

HOW TO DO IT



Decide what revenue model you will use

You should consider various revenue models and choose the one that allows you to grow your startup fast and earn a solid profit. Yes, I know, sometimes it might seem like two opposite objectives (grow a number of clients/users and earn a profit), but actually they both are needed for your strategy. Here are the 16 most common revenue models:

1. *Freemium*—an offering that is free of charge, but a premium is charged for advanced features, functionality, virtual goods and so on
2. *Premium*—a high-end offering with an upfront price, usually applied for prestigious, luxury, niche or limited product editions

3. *Price leadership*—lowest cost of operation to exploit the economy of scale (that is, the more you produce, the lower the costs per production unit)
4. *Predictive pricing*—future-priced offerings based on past data, performance, or customer profile (for example, insurance companies set higher prices for clients with a negative history)
5. *Pay-per-use*—customers have access to potentially unlimited features, goods or services, but pay only for what they actually use
6. *Core offering slim margin*—slim margins or even loss on the core product in order to profit from additional products or features with high demand; usually applied to products that are used with complementary products (for example, a printer is sold with low margin, but a nice profit is earned by selling ink or toner)
7. *Subscription and membership*—are quite often confused, therefore I've added them both. Membership means belonging to some kind of group and shows the relation. Membership can be free or paid. Subscription means charging customers upfront for periodic use or access to the offering. So, if the membership gives access to the product, service, or advanced benefits and it is charged for, it is a paid membership or simply a subscription revenue model.
8. *Micropayments*—very small payments on impulse or addictive purchases
9. *Bundle price*—placing several offerings together in a single package and selling for a lower price than would be charged if the offerings were sold separately
10. *Licensing*—to give permission to use your offering in a specific way
11. *Advertising revenue*—the offering is absolutely free, but backed by ads; usually, it's quite a popular solution when a customer has a high possibility of purchasing what is being advertised
12. *Franchise*—allowing a customer to use your company's successful business model for a fee (usually there is a starting fixed fee and commissions from income)
13. *Auction*—selling the offer to the highest bidding (eBay is a popular example of a place where sellers and buyers meet to carry out auctions)
14. *Switchboard or double-sided market*—a platform which brings together buyers and sellers; the operator of the platform usually takes a commission fee from confirmed deals, offer postings, or promotions
15. *Float*—the customer pays before the offering is produced according to customer needs
16. *Real-time pricing*—the price of the offering changes accordingly to the level of demand, the customer, or the state of other conditions (for example, hotels change their pricing according to the season, room occupancy rate, planned massive events, and festivals in the area).

Look broader and try to see how various revenue models would influence your business. For example, the *Share2Style* founders would have loved to have a subscription model because it is convenient for business and looks good for investors. But, many of their target customers are bloggers who are just starting out and would not be willing to pay a subscription price. So, even if the product was good, *Share2Style* would not have had any users due to their revenue model. Therefore, they chose to share affiliate commissions with bloggers (*Share2Style* earns only if bloggers earn). They also decided to implement an advertising revenue model once the platform scales up.

Calculate your fixed costs and evaluate how they can change over time

This is one of the easiest tasks, even though emotionally it might be difficult to make the decision to cut some expenditures. First of all, calculate what monthly expenses (such as rent, advertising, insurance, and office supplies) you have independent of your sales volume. The concept of lean startup suggests avoiding fixed costs in early stage startups, especially if you have negative cash flow. Always stay lean on expenses. If it's not necessary, don't spend money on it. If someone makes a negative comment that if you can't afford this or that, you can't afford to run your business, don't pay attention to them or any other naysayers. You are creating a business and you will enjoy its benefits once the profit shows up or when the valuation of the company significantly grows up!

During my global research on startups, I met Mark Tuttle, the co-founder of Web Associates which was established in 1995. He shared a great story about being able to cut unnecessary costs and achieve great results. They stayed lean on expenses from the very beginning. It was web technical development and interface design company, which even didn't have an office until Hewlett-Packard decided to visit them! The company had only five employees during the first two years and most of them were publishers and assistants for online content management (they were employed only at the point when orders from clients and workload increased). How did they fare operating so frugally?

The attitude of putting the customer first allowed Web Associates to become the first external web technical development and interface design agency in both Hewlett-Packard (1996) and Apple, Inc. (1997) resulting in a multi-year relationship with both companies. In 1996, Lucent Technologies (spun out of AT&T) had Web Associates do their first corporate website and an online CMS (1997) for all domestic and international sales offices. Not a bad client portfolio, eh? In 2008, as part of a repositioning strategy to better communicate the company's status as an independent, full-service digital agency, Web Associates rebranded as LEVEL Studios. In 2010, the company was acquired by Rosetta at price of \$140 million. So, do early stage startups really need a big office, large team, huge marketing budget and other fancy stuff in order to solve customers' problems in the best possible way? I think not!



Calculate your variable costs and prepare your budget draft

Variable costs are those costs that vary depending on your production or sales volume; they rise as production increases and fall as production decreases. Variable costs can include direct material costs, direct labor costs necessary to complete a certain task related to the product or service, and third party costs (for example, the more potential customers you have, the higher the price you pay for marketing automation tools and the more product you sell, the more you pay for product delivery). Customer acquisition and servicing costs are probably the largest variable costs at the moment. Calculate how much you have to spend to acquire a new customer and how much you also need to service this customer. A thorough bookkeeper would also take into account some portion of the fixed costs for acquiring and servicing a new customer. But, to be practical at this stage, it is enough to compare customer acquisition and servicing costs with the customer lifetime value for your company. In other words, you want to compare how much you spend to acquire a new customer and how much you earn from the new customer throughout the time they remain your customer (for example, when they make repeated purchases and buy additional products or services). If your costs are higher than earnings, you are in trouble! The more products or services you sell, the more losses you take. That's a terrible situation for standard business, but for startups, it might be an exception in some cases if you are still in the product or customer development process.

Once you have your fixed and variable costs on paper, you can prepare your monthly and yearly budget. You can download a startup budget Excel template with examples from www.evolutioncurve.com. Have in mind that you are creating just a budget draft to get an idea about your possible financial situation in the near future. Don't spend too much of your precious time on preparing the most detailed and accurate set of financial documents.



Calculate your cash burn rate, break-even point, and time remaining to reach it

Startups should act on the survival instinct: build products, attract paying customers, deal with competition, be lean on expenses, and have in mind that future funding may not be available. Make a plan for how to reduce your cash burn rate. If your startup is a pre-revenue company running on investment, you should think about how to stretch your funds out as long as possible, because you don't know if you will receive any additional investment.

- Focus your attention on increasing revenue so that you become profitable. This will solve the cash burn rate problem and make your startup much more attractive for investors.
- Check for multiple income streams. Look through your business model and see if you have created any additional value that could generate you at least some income. As

for instance, I have nothing against advertising income, but in most cases, it is hard to increase until you achieve large scale distribution. Therefore, when any startup says they will earn their desired profits on advertising, I became a little skeptical.

- Look for barter partnerships instead of purchasing services and products you need. Don't hurry to pay cash; offer something in exchange. Think if you have something valuable and who would appreciate getting this value.
- Consider using remote teams or even freelancers, who might be more skilled and less expensive. Maybe you don't yet need a full-time employee and the particular task could be done by outsourced specialists?
- Control your marketing budget. Instead of burning money on communication channels, it is better to focus on crafting an effective marketing strategy, positioning statement, and content. Prepare and run channel tests, measure results, and continue with the most effective channels.
- Offer equity instead of salary for your employees. If you already need employees, hire those who believe in your success and want to be in the same boat. Offer them a lower salary but with the option to acquire some share of your startup when the right time comes. Those who are passionate about your startup idea will agree to a lower salary because, with your success, their option rights will grant them much more value than any salary they ever dreamed. In the meantime, you'll reduce your cash burn rate by paying lower salaries.
- Watch your reserves. Anything less than six months of reserves signals danger. Take actions to cut your expenses or increase your revenue. Only in the worst case should you think about an additional investment source.



Calculate needed investments and how exactly those investments will be used?

Prepare a plan for how much funds you will need and how they will be used. Be ready to show the benefits to investors if you are planning to attract outside funding. Usually, investors expect to see not only immediate profit but also reduced cash burn rate, growing the customer base, and achieving a competitive advantage. Ask yourself the following questions:

- How much investment do you need and for what purpose will the investment be used?
- When are these investments needed? They might not be needed all at once but only after reaching particular milestones. For example, you'll need to allocate the actual marketing budget only when you have a product-market fit.
- What is the expected payback period? What is the projected return on investment? Nobody wants to invest money and then forget about it. You must have clear answers about when your startup will start generating profit.

- What if you won't get any investment? What is your plan B?

Echoz is an affiliate marketing platform based in Romania that, instead of products, promotes jobs in the IT sector. Basically, it's a multi-sided platform where IT companies, affiliates, and candidates interact. Nicolae Andronic, the founder of *Echoz*, identified that IT companies need to hire IT professionals in a cost-efficient manner. He also considered using affiliates as a viral growth engine. Creating and promoting the platform based on this strategy helped save a lot of money and reduced the required amount of investment. The total cost of creating this startup (except for the web development part, where Nicolae did the job himself) was under €1,000. Although *Echoz* is still in the early stage, they already serve about 40 IT companies in Romania, have more than 100 affiliates (bloggers, online publications, Facebook, and LinkedIn influencers) that together have an estimated reach of 50,000 – 60,000 IT professionals. Not a bad achievement with such a small investment!



Check the numbers before proceeding to prototype

Review your financial estimations. Will your business model be profitable? If you barely can see the positive cash flow perspective, there is not much sense going any further and creating prototypes and checking hypothesis. But if you see great revenue potential, you should have already prepared financial estimates about the conditions under which you will achieve the revenue (for example, the price of the product or service, sales volume, fixed and variable costs). If so, it's time to go to the next chapter and check the most important hypothesis about your business model and replace your initial assumptions with facts.

If you are building a scalable or buyable startup, you might want to estimate how much your startup will be worth if you succeed in achieving your goals? Forget about the unicorns, those startups that eventually become valued at \$ 1 billion or more. Those cases are as rare as creatures from fairy tales. Instead, estimate what could be a realistic evaluation of your startup and whether there would investors or corporations willing to acquire your company at such a price? If not, you should revise your financial estimations or even the whole business model if your financial assessments are very, very lean.



Recommended reading

1. Philip Kotler, Gary Armstrong. *Principles of Marketing*
2. Cynthia Kocialski. *Perfect Pricing in One Simple Lesson: Find Your Pricing Edge, Attract More Customers, and Earn More Profit*



There are many possible ways to make your feasibility study more in-depth, but the speed of decision making and actions for startups is also essential. I don't know who was the first to say, "done is better than perfect," but I totally agree with it in this startup development stage. You did your homework well if the following statements are true:

- You came to an idea about a possible product-market fit. The problem you intend to solve for your customers is a real headache with significant demand for solving it.
- You have assumptions or even confirmed facts about who your customers are and how you can reach them.
- You see the potential to make money and grow the company. The only unknown might be if you grow predictably and large enough.

In the next chapter, we'll talk about why hypotheses are essential for your startup business, how to rise and check them, what tools can be used, and what to do with your findings. If it happens that hypothesis verification leads you to results different from your expectations, you should come back to a feasibility study and recheck your financial assessments, and whether your business model is viable and sustainable under such conditions.

